

INSURANCE AND PENSIONS COMMISSION

SHORT-TERM (NON-LIFE) INSURANCE REPORT

FOR THE HALF YEAR-ENDED 30 JUNE 2020



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All the figures in this report are expressed in Zimbabwe dollars (ZWL\$). Figures relating to periods before February 2019 which were originally reported in United States dollars (US\$) have been converted into ZWL\$ at parity in accordance with the provisions of S.I. 133 of 2019.

Growth rates referred to in this report are all nominal unless stated otherwise.

* Income statement figures were adjusted using year-on-year inflation of 737.3% reported for the month of June 2020. Source:

<https://rbz.co.zw/index.php/research/markets/inflation>

****Balance sheet figures were not adjusted for inflation due to the unavailability of quarterly inflation figures. In this regard, balance sheet figures were compared on a nominal basis.**

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Executive Summary

This report provides a snapshot and key highlights of the performance of the short-term insurance sector for the six months period ended 30 June 2020.

Total Gross Premium Written (GPW) by short-term insurers amounted to \$2.74 billion for the period ended 30 June 2020, reflecting an increase of 689.18% from \$347.31 million reported for the comparative period in 2019. The total business written by short-term reinsurers increased from \$137.57 million for the period ended 30 June 2019 to \$1.25 billion for the period under review. However, in real terms, total business generated by short-term insurers decreased by 6% while the business generated by short-term reinsurers increased by 9% during the half year ended 30 June 2020.

Seventeen (17) out of eighteen (18) short-term insurers were compliant with the minimum capital requirement of \$37.5 million as at 30 June 2020. The reported capital positions were computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. All short-term reinsurers reported capital positions which were above the minimum capital requirement of \$75 million as at 30 June 2020.

Total assets for short-term insurers increased from \$2.66 billion reported as at 31 March 2020 to \$5.56 billion as at 30 June 2020. Total assets for short-term reinsurers increased from \$1.68 billion reported as at 31 March 2020 to \$3.69 billion as at 30 June 2020. Average compliance in prescribed assets decreased from

4.71% to 2.24% for short-term insurers and increased from 3.04% to 18.13% for reinsurers, as at 31 March 2020 and 30 June 2020 respectively. Only one (1) short-term insurance player and one (1) reinsurer were compliant with the minimum prescribed asset ratio of 10% as at 30 June 2020.

During the half year ended 30 June 2020, premium income by insurance brokers increased by 901% in nominal terms from \$130.38 million in 2019 to \$1.31 billion. However, in real terms, premium income only grew by 20%. Net brokerage commission for the half year ended June 2020 amounted to \$179.75 million. Reinsurance brokers reported \$825.62 million in gross premium for the half year ended 30 June 2020 as compared with \$85.7 million reported for the same period in 2019 reflecting just over 863% increase. The average commission ratio for reinsurance brokers declined by 10.5 percentage points from 21% recorded for the half year ending 30 June 2019 to 10.5% for the comparative period in 2020.

As at 30 June 2020, six insurance brokers reported capital positions that were below the required minimum of \$1.5 million. Two out of the seven registered reinsurance brokers reported capital positions which were below the minimum capital requirement of \$1.5 million.

Total assets for the insurance brokers increased significantly from \$63.2 million as at 30 June 2019 to \$568.81 million as at 30 June 2020. Reinsurance brokers reported total assets amounting to \$477.37 million as at 30 June 2020, reflecting an increase of 253% from \$135.1 million reported during the same period in 2019.



Section A



1. Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines short-term insurance sector developments and IPEC's various activities in the short-term insurance sector consistent with its statutory mandate during the first half ending 30 June 2020.

1.1. Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- Insurance and pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

Section B

2.Economic Developments

Section B



ECONOMIC DEVELOPMENT

2.1. World and Regional Economic Outlook

The COVID-19 pandemic has continued to worsen the world economy outlook for 2020. The global economy which was initially projected to decline by 3.9% in 2020 (as a result of COVID-19) is now projected to decline by 4.9%. Advanced economies are expected to experience a deep recession with a projected contraction of 8% in 2020.

Sub-Saharan Africa faces a triple shock - health shock from COVID-19, macroeconomic shock due to COVID-19 induced restrictions and food security shock due to supply chain disruptions and droughts. The World Bank projects that economic growth in Sub-Saharan Africa will decline to negative 5.1% in 2020 from a growth of 2.4% in 2019, marking the region's first recession in 25 years.

2.2. Domestic Economic Outlook

Treasury projects Zimbabwe's economy to contract by 4.5% in 2020 from an initial growth projection of 3% (Mid-term Fiscal Policy Statement). The projected negative growth is on account of climatic shocks in the form of the 2019/20 drought and cyclone Idai, energy challenges, currency volatility and the impact of COVID-19 pandemic.

The International Monetary Fund, however, projects that Zimbabwe's economy will experience a deeper decline of 7.4% (IMF 2020) compared to Treasury's projection of 4.5%. The economy will experience a severe contraction in tourism, which earns around US\$1 billion annually, because of extensive travel restrictions. The country is however anticipated to rebound in 2021 to a marginal growth of 2.5%.

The Finance, Banking and Insurance services sector is projected to contract by 7.1% from the initial estimated growth of 1.2%. COVID-19 has negatively affected premiums and contributions for the insurance and pensions industry.

2.3. Currency Reforms and Exchange Rate Developments

ZWL\$/US\$ exchange rate was 1:16.08 on 2 January 2020 and remained at 25 from March until June when the Foreign Currency Auction System was introduced which saw the exchange rate moving to 1:63.7. The alternative exchange market traded at a premium to the interbank market. However, the rates have been showing signs of convergence and low volatility since the adoption of the Foreign Auction System.

The table below shows exchange rate developments from January to August 2020.

Table 1: Foreign Currency Exchange Rates



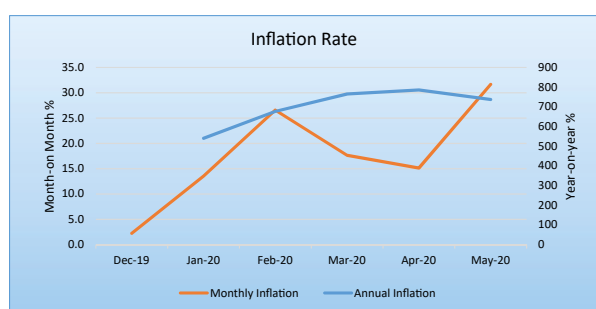
Source: RBZ, Market Watch

2.4. Inflation Developments

During the quarter under review, inflation remained on an upward trajectory spiking from 176% in June 2019 to 737.3% in June 2020. Month-on-month inflation averaged 17.08 % for the first half of 2020.

The figure below shows inflation developments for the first half of the year:

Fig 1: Inflation Developments



Whilst the inflation rate remained high during the first half of 2020, the Central Bank forecasts annual inflation to gradually fall to about 249% by December 2020, following foreign exchange market stability ushered in by the introduction of the foreign exchange auction system on 23 June 2020.

Such developments will positively influence developments in the insurance and pensions industry after

the second episode of loss of value following hyperinflation that characterised currency reforms.

2.5. Trends in the Real Estate Market

The insurance and pensions industry particularly pension funds and life companies whose major investments are in the form of property continue to face challenges from low occupancy. Rental income continues to lag behind inflation rate. The industry, however, got a reprieve following the gazetting of Statutory Instrument 85 of 2020 which facilitated dual pricing and enabled consumers with free funds to pay for goods and services using United States dollars as a measure to stabilise financial markets in response to COVID-19 lockdown.

Accordingly, some property owners now prefer holders of free funds as tenants. However, this trend may further result in low occupancy ratios as most tenants' earnings are in local currency.

Furthermore, the Government, through Statutory Instrument 96 of 2020 provided a reprieve to tenants to accumulate rental arrears by making payment plans with their landlords to alleviate the negative effects of COVID-19 on economic activity for a period of three months. Although the promulgation of the Statutory Instrument had negative effects on insurance and pensions industry property holders, its expiration brought some relief to the sector.

2.6. Trends on the ZSE

During the first half of 2020, the equities market was dominated by strong bullish sentiments, registering a 681.6% growth in market capitalisation from ZWL\$29.231 billion at the beginning of the year to ZWL\$228.87 billion by 26

June 2020.

The suspension of trading on the Zimbabwe Stock Exchange coupled with suspension of mobile money based payment platforms on 26 June 2020 which were meant to pave way for investigations into the abuse of mobile money payment platforms brought some uncertainties in the insurance and pensions industry.

Trading however, resumed on 3 August 2020, albeit with all indices trending southwards with thin volumes. The three dually listed shares, namely Old Mutual, PPC and Seed Co International, however, remained suspended from trading. It is anticipated that these will be listed on the forex - based Victoria Falls Securities Exchange (VFEX).

The suspension of the three shares is likely to affect the liquidity of insurance companies and pension funds as they are heavily invested on the stock exchange in a bid to hedge against inflation.

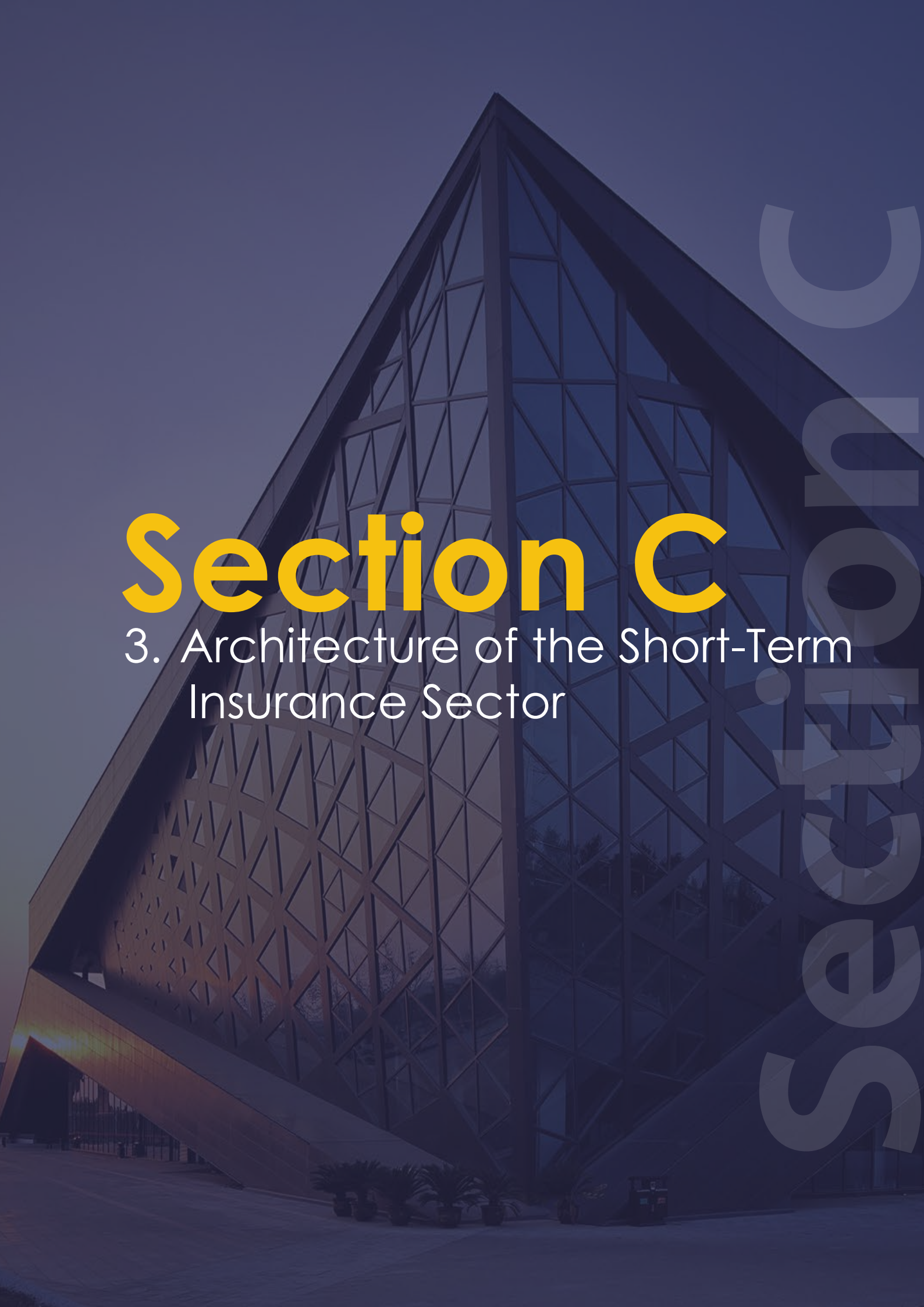
2.7. Victoria Falls Exchange Market

Government has already announced the launch of VFEX in order to attract critical offshore capital into the economy in order to buttress local resources. This development will go a long way in preserving the insurance and pension industry assets as well as in aiding asset and liability matching, given that the industry has USD denominated liabilities.

2.8. Trends in the Money Market

Nominal monthly deposit rates for money market investments varied from 3.55% to 14.99 % against real negative returns of up to 86.66% and annual inflation rate of 737.30% as at 30 June 2020. With such negative real returns, money market instruments became unattractive to the industry.

However, with the need to meet immediate obligations, losses from investing in money market instruments are inevitable for the industry.



Section C

3. Architecture of the Short-Term Insurance Sector

3.1. Architecture of the Short-term Insurance Sector

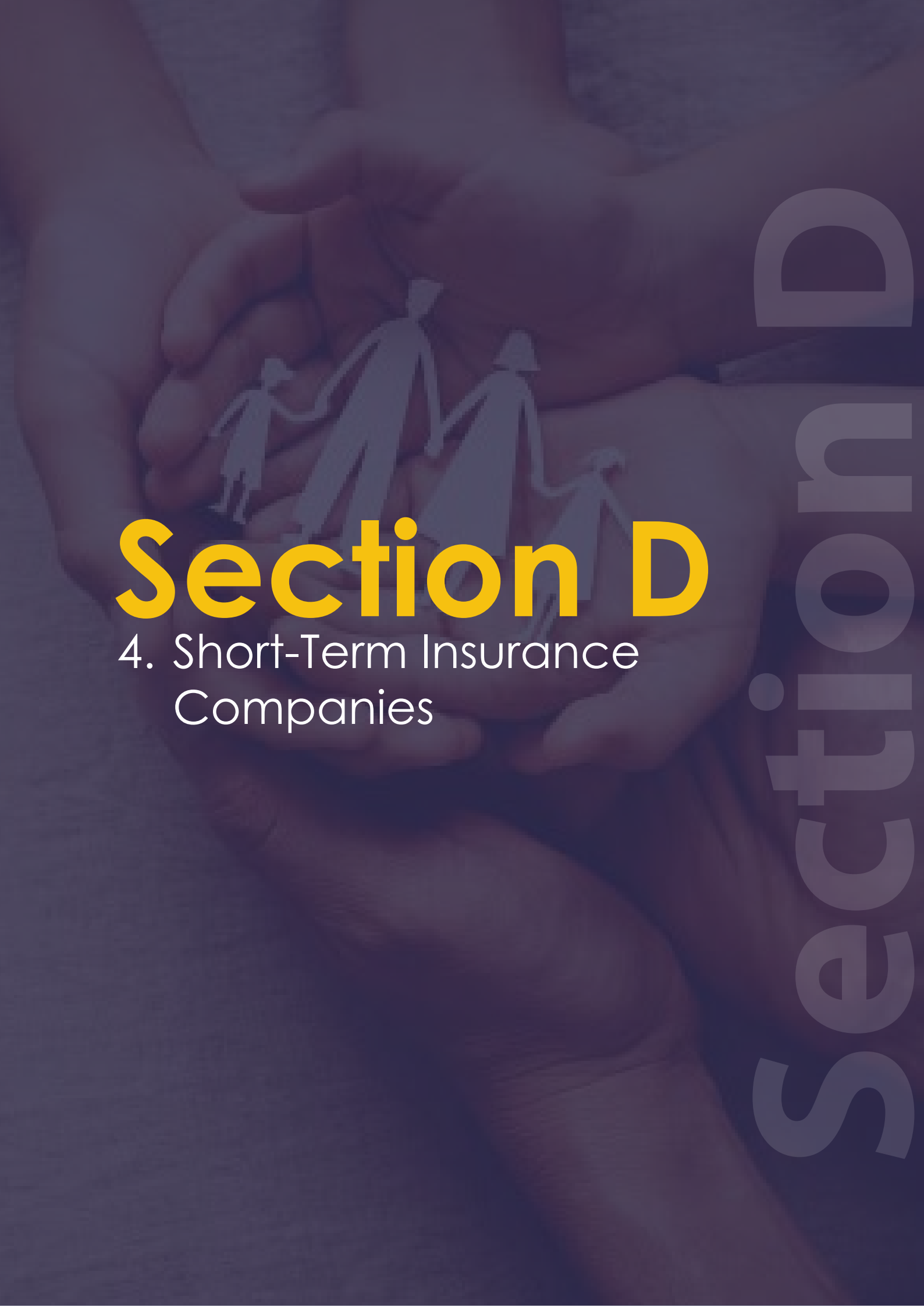
There were seven hundred and fifty-seven (757) registered entities/persons in the short-term insurance sector as at 30 June 2020. The architecture of the sector is as shown in Table 2 below:

Table 2: Architecture of the Short-term Insurance Sector

Type of Institutions	Number of Registered Entities/Persons as at....	
	30-Jun-20	30-Jun-19
Insurance Companies*	18	18
Microinsurers	1	2
Reinsurance Companies**	8	8
Underwriting Management Agencies	-	-
Insurance Brokers	32	31
Reinsurance Brokers	7	7
Loss Assessors	37	36
Corporate Agents	153	133
Sole Agents	501	460
Total	757	695

* Two insurers namely; FBC Insurance Company and Alliance Insurance Company are composite insurers. The figures in this report, however, pertain to their short -term business only.

**Five reinsurers namely; Emeritus Reinsurance Company, FBC Reinsurance Company, First Mutual Reinsurance Company, Grand Reinsurance Company and PTA Reinsurance Company (Zep Re) are composite reinsurers who also write life business. However, the figures in this report pertain to their short term business only.

A pair of hands, one from a darker-skinned person and one from a lighter-skinned person, are cupped together, holding a white silhouette of a family (two adults and two children) walking. The background is a dark, textured blue.

Section D

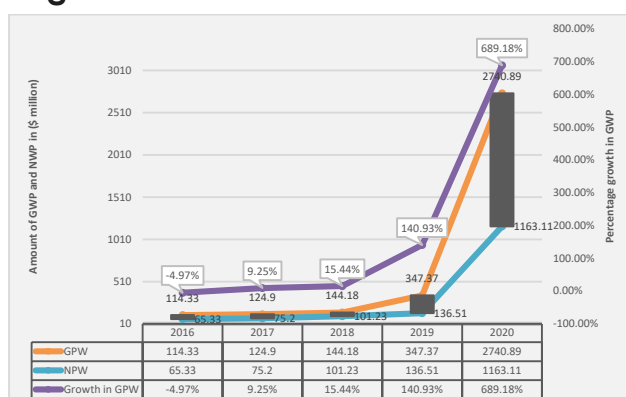
4. Short-Term Insurance Companies

Section D

4.1. Performance in Terms of Business Written

Total Gross Premium Written (GPW) by short-term insurers increased by 689.18% from \$347.31 million recorded during the first six months in 2019 to \$2.74 billion recorded during the six months ending 30 June 2020. The significant nominal growth in gross premium written is mainly attributable to insurance premiums closely tracking inflation following currency reforms. However, in real terms, Gross Premium Written declined by 6%. Figure 2 below shows the trend in nominal volume of the business generated by short-term insurers since 2016:

Figure 2: Trend in Business Written'



The sizeable jump in the volume of business written by the short term insurance players between 2018 and 2019 was on account of inflation induced by currency reforms which culminated in the introduction of the Zimbabwe dollar.

The distribution of business generated during the quarter ended 30 June 2020 across different business classes is shown in Table 3 below:

Table 3: Short-Term Insurers' GPW by Class of Business

Class of Business	Gross Premium Written (\$)		Contribution	Nominal Growth	Real Growth
	30-Jun-20	30-Jun-19			
Aviation	373 687	243 170	0.01%	54%	-82%
Bonds/Guarantee	93 678 205	13 642 353	3.42%	587%	-18%
Engineering	715 972 965	39 585 583	26.12%	1709%	116%
Farming	43 838 460	2 905 914	1.60%	1409%	80%
Fire	795 497 350	92 052 958	29.03%	744%	3%
Hail	10 756 656	328 086	0.39%	3179%	292%
Hire Purchase	6 403 450	3 268 957	0.23%	96%	-77%
Marine	55 118 293	7 321 916	2.01%	653%	-10%
Miscellaneous Accident	60 779 703	21 375 068	2.22%	184%	-66%
Motor	807 155 932	144 081 935	29.45%	460%	-33%
Personal Accident	119 051 743	19 438 792	4.34%	512%	-27%
Personal Liability	32 065 998	3 066 299	1.17%	946%	25%
Total	2 740 892 441	347 311 031	100.00%	689%	-6%

Table 3 above shows that motor, fire and engineering classes of insurance remained the main sources of business in terms of GPW for the first half ended 30 June 2020. The total business written for the three classes of business amounted to \$2.32 billion accounting for 84.60% of total GPW during the period under review.

Insurance players are encouraged to be innovative and design new products that satisfy market needs considering the disruptions brought about by the Covid-19 pandemic.

4.2. Capitalisation

As at 30 June 2020, seventeen (17) out of eighteen (18) short-term insurers were compliant with the minimum capital requirement of \$37.5 million. Only one entity had its reported capital position below the minimum capital threshold.

The reported capital positions were, however, computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. The capital positions reported by short-term insurers for the quarter ended 30 June 2020 are shown in Table 4

Table 4: Reported Capital Positions for Short-term Insurers

Name of insurance company	Reported Capital Position (\$)	
	30-Jun-20	30-Jun-19
1. Alliance Insurance Company	80,328,306	5,681,723
2. Allied Insurance Company	151,089,271	13,142,369
3. CBZ Insurance Company	145,114,371	15,368,797
4. Cell Insurance Company	199,153,137	28,190,232
5. Champions Insurance Company	50,928,709	2,073,396
6. Clarion Insurance Company	47,865,627	5,646,721
7. Credsure Insurance Zimbabwe	96,492,186	14,122,117
8. Econet Insurance Company	281,146,946	38,411,319
9. Evolution Insurance Company	74,960,181	11,183,626
10. ECGC	63,317,131	14,238,149
11. FBC Insurance Company	92,117,127	17,161,738
12. Hamilton Insurance Company	191,814,095	23,703,108
13. Nicoz Diamond Insurance Company	277,844,342	32,689,427
14. Old Mutual Insurance Company	546,367,384	84,772,878
15. Quality Insurance Company	100,151,000	6,093,000
16. Safel Insurance Company	75,175,510	5,667,287
17. Sanctuary Insurance Company	36,307,904	5,316,644
18. Zimnat Lion Insurance Company	149,689,609	20,477,107

Key:

	The insurer reported a capital position that was above the MCR requirement of \$37.5 million
	The insurer reported a capital position which was below MCR of \$37.5 million

4.3. Asset Quality

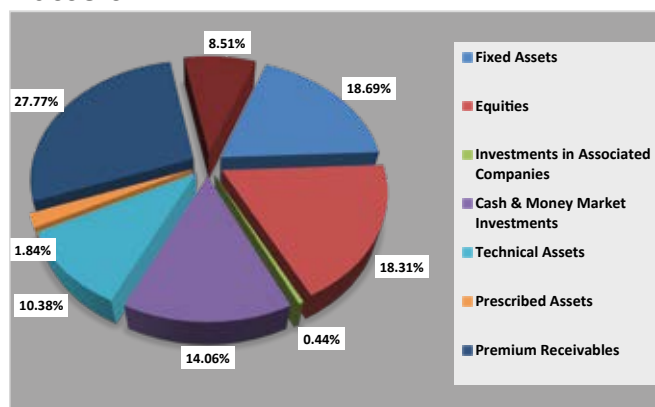
Total assets for short-term insurers increased by 109.02% in nominal terms from \$2.66 billion reported as at 31 March 2020 to \$5.56 billion reported as at 30 June 2020. The increase in assets is mainly attributable to fixed asset revaluations and equities which grew by 112.14% from \$989.43 million as at 31 March 2020 to \$2.10 billion as at 30 June 2020.

Premium debtors increased by 192.79% from \$526.71 million as at 31 March 2020 to \$1.54 billion as at 30 June 2020. The increase is reflective of the general price increases as premiums track inflation. The Commission is concerned by the increase in premium debtors as they negatively impact on insurers' capacity to meet policyholders' claims as they fall due. In this regard, insurers are urged to strengthen their underwriting tools to reduce credit risk.

Investments in prescribed assets increased by 6.79% from \$95.95 million as at 31 March 2020 to \$102.49 million as at 30 June 2020. Only one (1) out of the eighteen (18) short-term insurers was compliant with the minimum

prescribed asset ratio of 10% as at 30 June 2020. Short-term insurers are urged to ensure implementation of their compliance roadmaps to ensure compliance within agreed timeframes. The Commission will continue to lobby Government for the development and introduction of attractive instruments to ensure the preservation of investor and policyholder funds. The contribution of various asset classes to total assets as at 30 June 2020 is shown in Figure 3 below:

Figure 3: Contribution of various assets



Insurance players are encouraged to ensure that they design investment models which can preserve the value of the assets as well as ensuring a balanced investment mix in line with the Commission's investment limits outlined in Circular 2 of 2013.

4.4. Reinsurance

The industry average retention ratio increased from 39.30% for the half year ended 30 June 2019 to 42.44% for the comparative period in 2020. This shows an increase in risk appetite by the short-term insurers. Retention ratios for individual insurers ranged from 7.55% to 99.36%.

The average reinsurance creditors to reinsurance premium ratio was 73.73% as at 30 June 2020,

compared to 58.48% reported as at 30 June 2019. (See Appendix 1C for more indicators).

4.5. Actuarial Matters

Technical liabilities for the short-term insurers rose by 85.36% from \$577.33 million as at 31 March 2020 to \$1.07 billion as at 30 June 2020. The average liquid assets to total technical reserves ratio for the period under review was 140.44% as compared to 129.02% for the comparative period in 2019. The ratio measures the degree to which an insurer can meet its financial obligations by holding cash and other liquid investments to meet unexpected cash needs without the sale of investments that may result in substantial realised losses. This growth shows the cautious approach by industry players in setting aside liquid assets for unexpected claims. (See Appendix 1C for the performance indicators of insurance companies in terms of Actuarial matters).

4.6. Earnings

Total after tax profit by short term insurers grew by 1,302.11% from \$90.05 million reported during the first half of 2019 to \$1.33 billion during the comparative period in 2020.

The significant increase in after tax profit was on account of unrealised gains from assets which rose by 1,669.22% from \$48.58 million during the period ending 30 June 2019 to \$859.49 million during the period under review.

The sector's average return on assets (ROA) and return on equity (ROE) were 46.38% and 96.88% respectively for the period under review.

(For more performance indicators on

profitability refer to Appendix 1C under earnings).

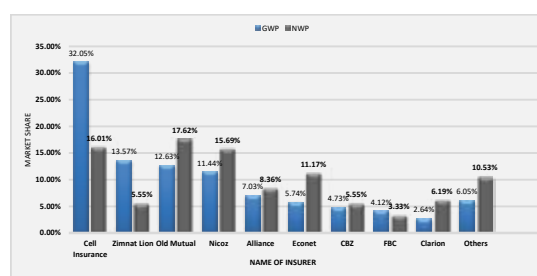
4.7. Liquidity

Cash and near cash assets in the form of money market and short-term prescribed assets increased from \$490.03 million as at 31 March 2020 to \$883.81 million as at 30 June 2020. The increase in liquid asset holdings by the short-term players was in line with the increase in technical liabilities during the period under review. Individual insurers' acid test ratios as at 30 June 2020 ranged from 5.73% to 604.77% as shown in Appendix 1C.

4.8. Market Share for Short-term Insurers

During the half year ended 30 June 2020, Cell Insurance, Zimnat Lion, Old Mutual and Nicoz Diamond were the market leaders in terms of GPW with a combined market share of 69.69%. Figure 4 shows the market share in terms of GPW and NPW for all insurers:

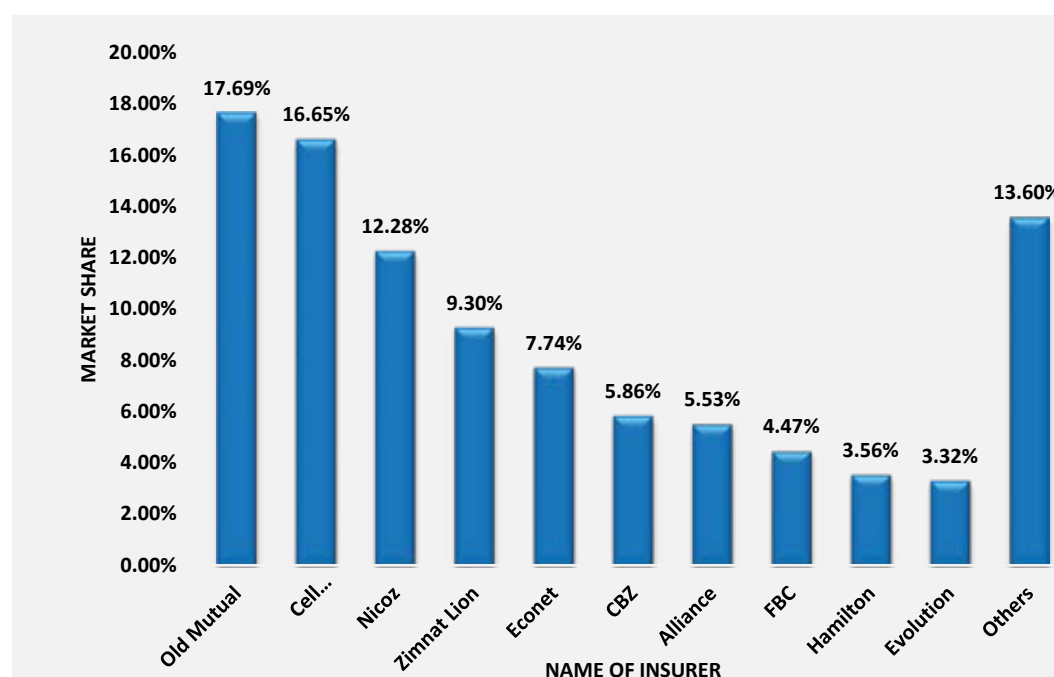
Figure 4: Market Share for Short-Term Insurers in Terms GPW and NPW



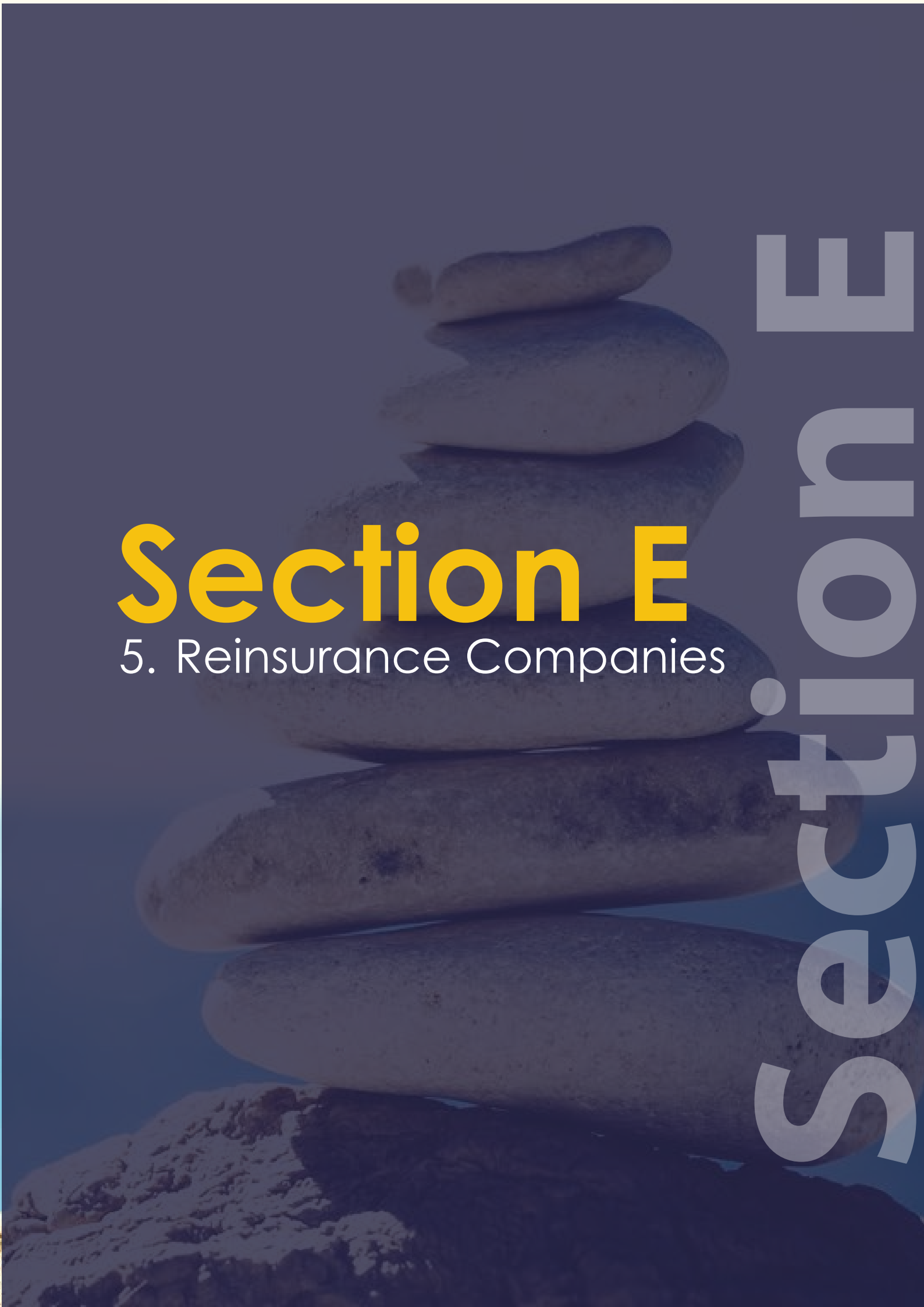
*Others comprises of Allied, Champions, Credsure, ECGC, Evolution, Hamilton, Quality, Safel and Sanctuary.

In terms of total assets, Old Mutual, Cell Insurance, Nicoz Diamond and Zimnat Lion were the market leaders with a combined market share of 55.92% as shown in Figure 5:

Figure 5: Market Share for Short-Term Insurers in Terms of Total Assets



*Others comprise of Allied, Champions, Clarion, Credsure, ECGC, Evolution, Quality, Safel and Sanctuary.



Section E

5. Reinsurance Companies

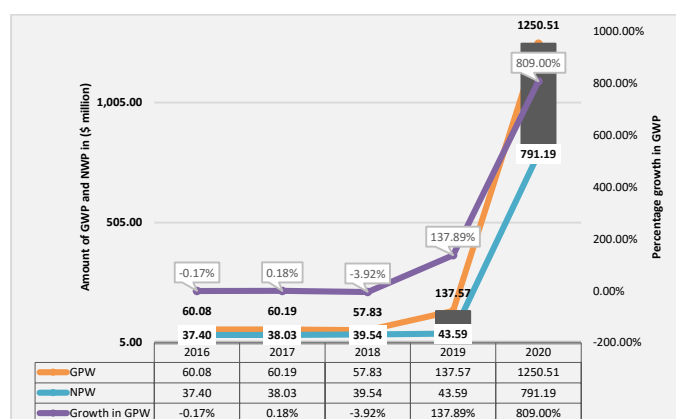
Section E

5.1. Performance in Terms of Business Written

The total business written by reinsurers increased by 809% from \$137.57 million for the half year ended 30 June 2019 to \$1.251 billion for the comparative period in 2020. The increase in the volume of business by reinsurers is in line with the 905% nominal growth in the business written by the direct short-term insurers during the two comparative periods.

The amount of business ceded to retrocessionnaires also grew by 953.73% from \$43.59 million as at 30 June 2019 to \$459.32 million as at 30 June 2020. Figure 6 below shows the trend in volume of business written by short term reinsurers during the first half year for the period from 2016 to 2020.

Figure 6: Trend in Business Written



The significant increase in business written by the reinsurers between 2018 and 2019 was on account of currency reforms which culminated in the introduction of the Zimbabwe dollar during the first quarter of 2019. Table 5 shows the percentage growth in GPW for different classes of business.

Table 5: Reinsurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Contribution	Nominal Growth	Real Growth
	30-Jun-20	30-Jun-19			
Aviation	36 315 231	3 946 139	2.90%	820.27%	10%
Bonds/Guarantee	3 191 901	1 293 848	0.26%	146.70%	-71%
Engineering	54 217 414	17 491 207	4.34%	209.97%	-63%
Farming	73 423 988	4 455 213	5.87%	1548.05%	100%
Fire	621 459 074	47 390 228	49.70%	1211.37%	57%
Hail	21 013 954	785 997	1.68%	2573.54%	219%
Health	201 412	611 042	0.02%	-67.04%	-96%
Hire Purchase	501 090	0	0%	-	-
Marine	29 853 508	3 847 019	2.39%	676.02%	-7%
Miscellaneous Accident	97 065 309	15 437 087	7.76%	528.78%	-25%
Motor	230 325 249	35 261 116	18.42%	553.20%	-22%
Personal Accident	72 119 331	5 217 065	5.77%	1282.37%	65%
Personal Liability	10 826 482	1 832 099	0.87%	490.93%	-29%
Total	1 250 513 943	137 568 060	100%	809.01%	9%

As shown in the table above, fire, motor and personal accident insurance business classes were the major sources of reinsurance business in terms of the sector's gross premium written contributing 75.88% of the overall business written during the first six months ending 30 June 2020. Reinsurers recorded less volume of business from engineering as compared to the short-term insurers indicating that the short-term insurers retained the bulk of engineering business during the period.

5.2. Capitalisation

All the registered short-term reinsurers reported capital positions above the prescribed minimum capital requirement of \$75 million. However, these reported capital positions were not adjusted in line with the provisions of Statutory Instrument (S.I.) 95 of 2017, in terms of non-admissible assets. (See Table 6 below).

Table 6: Reported Capital Positions

Reinsurance Company	Reported capital position (\$)	
	30-Jun-20	30-Jun-19
1. Emeritus Re	131, 650, 367	53,759,374
2. FBC Re	387, 769, 160	25,276,661
3. FM Re	182, 638, 328	8,408,119
4. Grand Re	121, 597, 355	14,277,105
5. Tropical Re	181, 470, 079	8,940,877
6. WAIKA Re	90, 370, 803	31,147,208
7. PTA Re	718, 028, 440	72,239,188
8. ZB Re	383, 175, 766	31,449,385

Key:

	The insurer reported a capital position above the capital requirement of \$75 million
	The insurer reported a capital position which below the minimum capital requirement of \$75 million

The average solvency margin for short-term reinsurers was 277.64% as at 30 June 2020, which was above 261.24% reported as at 30 June 2019. The increase in the solvency margin shows an improvement in the insurers' capacity to cover their liabilities in the near future. All the reinsurers were compliant with the minimum solvency margin of 25% stipulated in Section 24(1a) (ii) of the Insurance Act [Chapter 24:07]. The solvency margin for individual reinsurers as at 30 June 2020 ranged from 90.91% to 895.21% as shown in appendix 2C.

5.3. Asset Quality

Short term reinsurers had an asset base of \$3.69 billion as at 30 June 2020, reflecting a 119.64% increase from the \$1.68 billion reported as at 31 March 2020. The growth in assets of the reinsurers was mainly attributable to revaluations on property, equities and other related non-current assets. Investments in prescribed assets increased from \$48.56 million as at 31 March 2020 to \$641.36 million as at 30 June 2020. However, only 1 (1) out of the eight (8) registered reinsurers was compliant with the requisite prescribed asset threshold of 10% as at 30 June 2020. Reinsurers are urged to adhere to the implementation of their agreed prescribed asset compliance roadmaps to ensure compliance. The prescribed assets compliance thresholds for the short-term reinsurers is shown in Appendix 2C.

Premium receivables increased by 178.28% from \$295.77 million at 31 March 2020 to \$823.08 million as at 30 June 2020. The increase in premium receivables is a huge challenge for the players as capital will be tied up

in premium debtors. The Commission encourages players to ensure that they continuously design effective credit control systems to manage credit risk.

5.4. Actuarial Matters

Total technical liabilities increased from \$342.52 million as at 31 March 2020 to \$684.80 million as at 30 June 2020. The largest proportion of total reserves was attributable to Gross Outstanding Claims and Unearned Premium Reserves, which amounted to \$572.40 million accounting for 83.58% of the total technical liabilities.

5.5. Retrocession

The industry's average retention ratio was 63.27% for the quarter ending 30 June 2020 compared to 68.31% that was reported for the quarter ending 30 June 2019. The individual reinsurers reported retention ratios ranging from 30.75% to 93.59% for the half year to June 2020. The decrease in the risk retention ratio shows a decrease in the capacity of the sector in retaining risk.

5.6. Earnings

Total after tax profit for short-term reinsurers increased from \$138.94 million for the period ended 30 June 2019 to \$1.46 billion for the period ended 31 June 2020. The significant increase in after tax profit was on account of unrealised gains from assets that increased by 90.79% from \$79.33 million as at 30 June 2019 to \$1.51 billion for the period ending 30 June 2020. The increase in unrealised gains was mainly caused by exchange rate driven inflation. The combined ratio and other ratios that relate to profitability for short-term reinsurers are shown in Appendix 2C under earnings.

5.7. Liquidity

Liquid assets held by short-term reinsurers increased from \$551.33 million as at 31 March 2020 to \$1.57 billion as at 30 June 2020. The average acid test ratio for individual short-term reinsurers rose from 108.22% as at 30 June 2019 to 109.97% as at 30 June 2020. The acid test ratios for short-term reinsurers is shown on Appendix 2C under liquidity.

5.8. Market Share for Reinsurers

As shown in Figure 6 below, the market leaders in terms of Gross Premium Written (GPW) were Zep-Re, ZB Re and Grand Re. These reinsurers controlled 55.23% of Gross Premium Written (GPW) for the quarter ended 30 June 2020.

Figure 7: Market Share for Short-Term Reinsurers in Terms of GPW and NPW

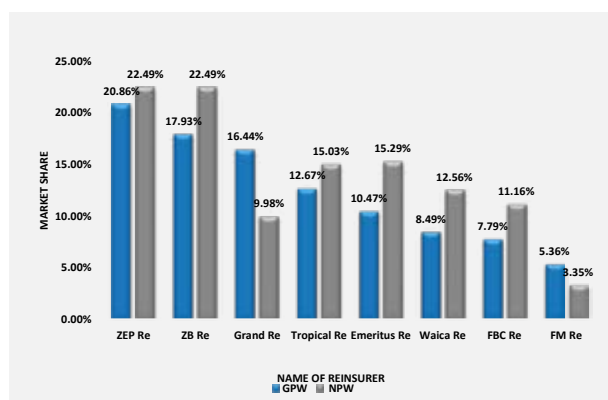
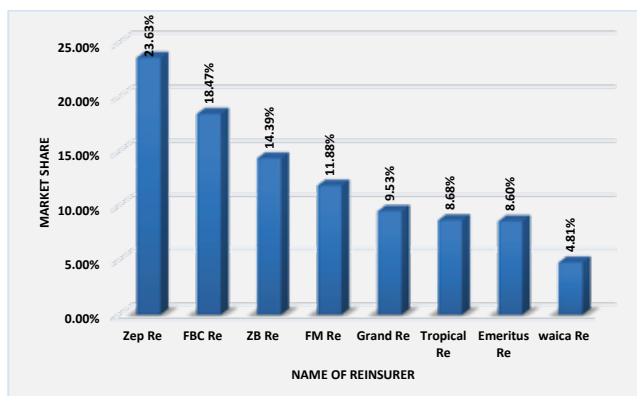


Figure 8: Market Share for Short-Term Reinsurers in Terms of Total Assets



In terms of market share based on total assets, Zep-Re, FBC Re and ZB Re were the market leaders, with a combined market share of 56.49%. Figure 7 shows the market share in terms of total assets as at 30 June 2020.

Section F

6. Insurance Brokers

Section F

Ambassador Insurance Brokers, Auto and General Insurance Brokers, Hostcare Insurance Brokers, Revival Insurance Brokers and Rainbow Insurance Brokers failed to submit their 2020 second quarter returns and are therefore excluded from this report. The Commission has noted with concern the continued disregard of statutory obligations by these brokers. The Commission is accordingly instituting appropriate regulatory sanctions against the non-compliant entities.

The Commission is pleased to announce that the online portal is now fully functional for brokers. Accordingly, brokers are expected to submit their quarterly returns through the online portal platform. In addition to uploading quarterly returns on the online portal platform, brokers are urged to submit their signed scanned copies of the returns via e-mail for verification purposes.

6.1. Business Written

For the half year ended 30 June 2020, premium income by insurance brokers increased by 901% in nominal terms from \$130.38 million recorded during the first six months ending 30 June 2019 to \$1.305 billion during the comparative period in 2020. In real terms, premium income grew by 20%. Net brokerage commission for the half year of 2020 amounted to \$179.75 million. The increased volume of business recorded by insurance brokers during the period under review was on account of gradual premium increases in line with inflationary trends.

The average commission rate for the sector decreased by three percentage points from 17% recorded during the first half of 2019

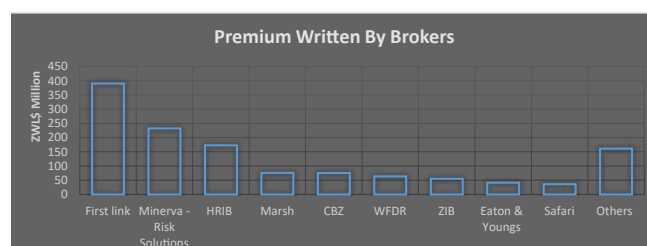
to 14% recorded during the comparative period in 2020. The Commission has noted an increase in the use of unregistered intermediaries by some brokers. Brokers are accordingly urged to employ only registered intermediaries to ensure transparency and policyholder protection as well as avoid regulatory breaches that attract regulatory sanctions. Table 7 below shows key indicators for business written by insurance brokers.

Table 7: Indicators of Business Written for Insurance Brokers

Indicator	30-June-2020 (\$)	30-June-2019 (\$)	Percentage change	Real Percentage Change
Premium Written	1,305,416,460	130,378,956	901%	20%
Premium Payable	1,114,497,857	108,743,175	925%	22%
Brokerage Commission	189,162,545	21,615,315	775%	5%
Commission Paid	11,531,770	2,366,580	387%	-42%
Net Brokerage Commission	179,746,311	19,248,735	834%	12%
Other Income	-3,521,417	1,920,096	-283%	-122%
Operating Expenses	94,082,674	12,580,536	648%	-11%
Profit Before Tax	83,607,645	8,588,295	874%	16%
Taxation	24,292,963	1,697,982	1331%	71%
Profit After Tax	59,384,680	6,890,313	762%	3%

The top ten brokers accounted for 88% of the total cumulative nominal premium income written during the half year ended 30 June 2020. The market leader in terms of premium written was First Link Insurance Brokers with premium income amounting to \$389.98 million accounting for 30% of the total business written during the period under review. Figure 9 below shows the premiums written by direct brokers during the six months ending 30 June 2020.

Figure 9: Premium Written by Brokers



6.2. Capitalisation

As at 30 June 2020, six insurance brokers reported capital positions that were below the required minimum of \$1, 500, 000. The capital positions for insurance brokers ranged from negative \$33.37 million to positive \$36.48 million. Non-compliant brokers are expected to submit their compliance roadmaps to the Commission for evaluation to facilitate compliance with the minimum capital requirements in line with Statutory Instrument 59 of 2020.

In addition to maintaining minimum capital requirements, all insurance brokers are expected to ensure that they have in place, at all times, proper and valid professional indemnity policy in line with Statutory Instrument 59 of 2020.

Table 8: Reported Capital Levels for Insurance Brokers: 30 June 2020

Name of Insurance Company	30-Jun-20	30-Jun-19
1. Ambassador Insurance Brokers*	-	102,701
2. Amour Khan Insurance Brokers	1,852,377	153,254
3. Auto & General Insurance Brokers*	-	392,300
4. Broksure Insurance Brokers	4,266,540	92,904
5. Capitol Insurance Brokers	19,596,177	1,827,546
6. Care Insurance Brokers	2,504,070	446,262
7. CBZ Risk	15,469,609	1,692,490
8. Coverlink Insurance Brokers	1,882,526	66,182
9. Eaton & Youngs (Private) Limited	20,362,874	625,330
10. Eureka Insurance Brokers	7,405,331	531,660
11. Entwide	1,851,493	129,417
12. First Link Insurance Brokers	27,324,615	-
13. First Sun Alliance	18,437,928	419,191
14. Glenrand MIB Zimbabwe	5,075,631	343,299
15. Goldstick Insurance Brokers	4,391,926	242,259
16. Hostcare Insurance Brokers*	-	243,914
17. HRIB (Private) Limited	36,483,003	2,364,748
18. Hunt Adams & Associates	4,264,548	551,314
19. L. A. Guard Insurance Brokers	3,561,925	283,995
20. Marsh Insurance Brokers	(33,370,942)	1,353,193
21. Minerva Risk Solutions	34,501,014	3,804,358
22. Momentum Insurance Brokers	2,709,205	739,971
23. Paul Mkondo Insurance Brokers	15,484,685	176,495
24. Perpro Insurance Brokers	5,251,172	269,554
25. Progressive Insurance Brokers	3,181,943	269,554
26. Rainbow Insurance Brokers*	-	15,551
27. Revival Insurance Brokers*	-	482,000
28. SATIB Insurance Brokers	12,932,561	1,272,636
29. TIB Insurance Brokers	6,397,230	242,984
30. WFDR Risk Services	17,954,901	1,178,836
31. Victory Insurance Brokers	4,980,396	778,251
32. Zimbabwe Insurance Brokers	9,784,362	560,519

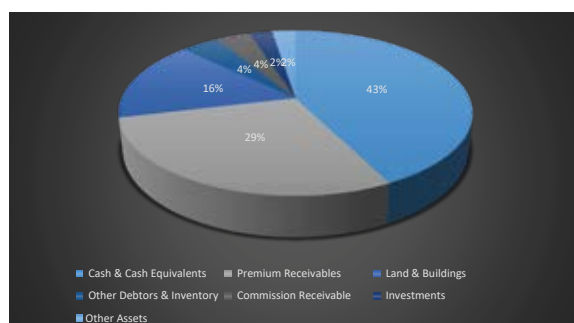
KEY

	The broker reported a capital position that was above the requirement of \$1, 500, 000.
	The broker reported a capital position that was below the requirement of \$1, 500, 000.

6.3. Asset Quality

Total assets for the insurance brokers increased significantly from \$63.2 million as at 30 June 2019 to \$568, 81 million as at 30 June 2020. The significant increase in assets was on account of asset revaluations and growth in response to inflationary trends. The asset base for insurance brokers is skewed towards cash and cash equivalents, premium receivables and land and buildings accounting for 43%, 29% and 16% of the total assets respectively. The distribution of assets across different asset classes is shown in Figure 9 below.

Figure 10: Insurance Brokers' breakdown of Total Assets as at 30 June 2020



The Commission is concerned by the continued increase in premium debtors at the expense of profitable deployment of the resources. Brokers are, therefore, urged to employ effective underwriting modalities to avoid tying significant resources in premium debtors. Insurance brokers are encouraged to preserve value of their assets as they determine the financial strength of their balance sheets.

6.4. Earnings

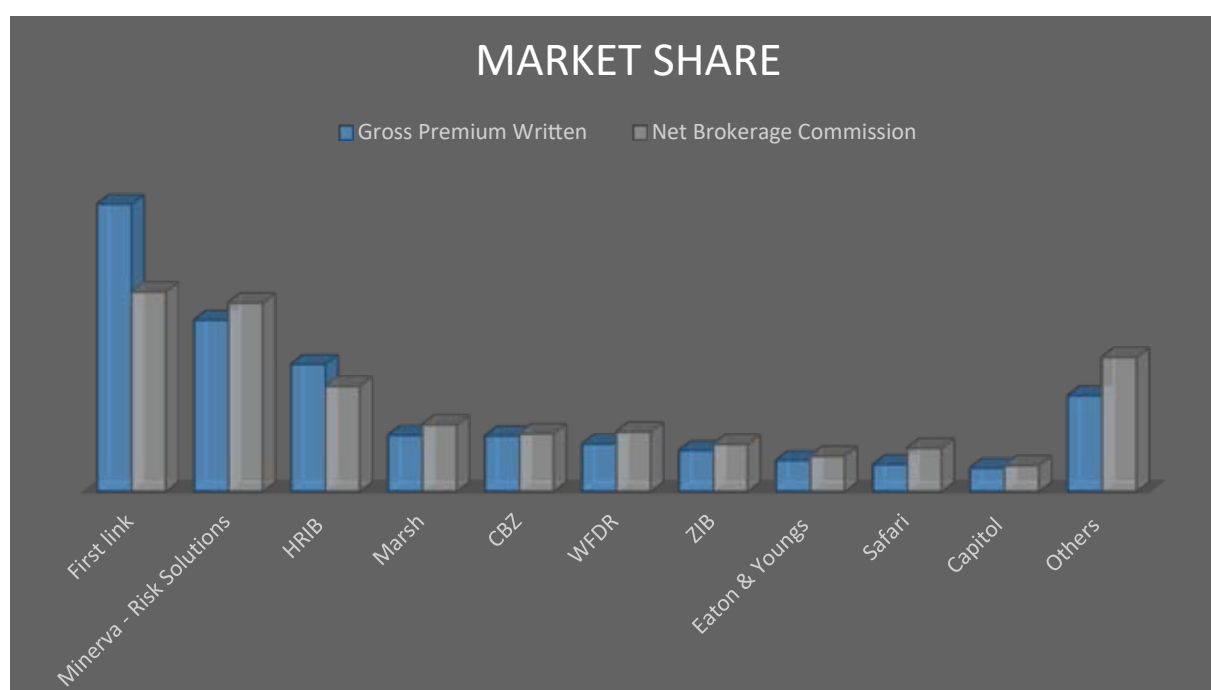
Insurance brokers' after tax profit increased by 762% from \$6.89 million for the first six months ending 30 June 2019 to \$59.38 million during the six

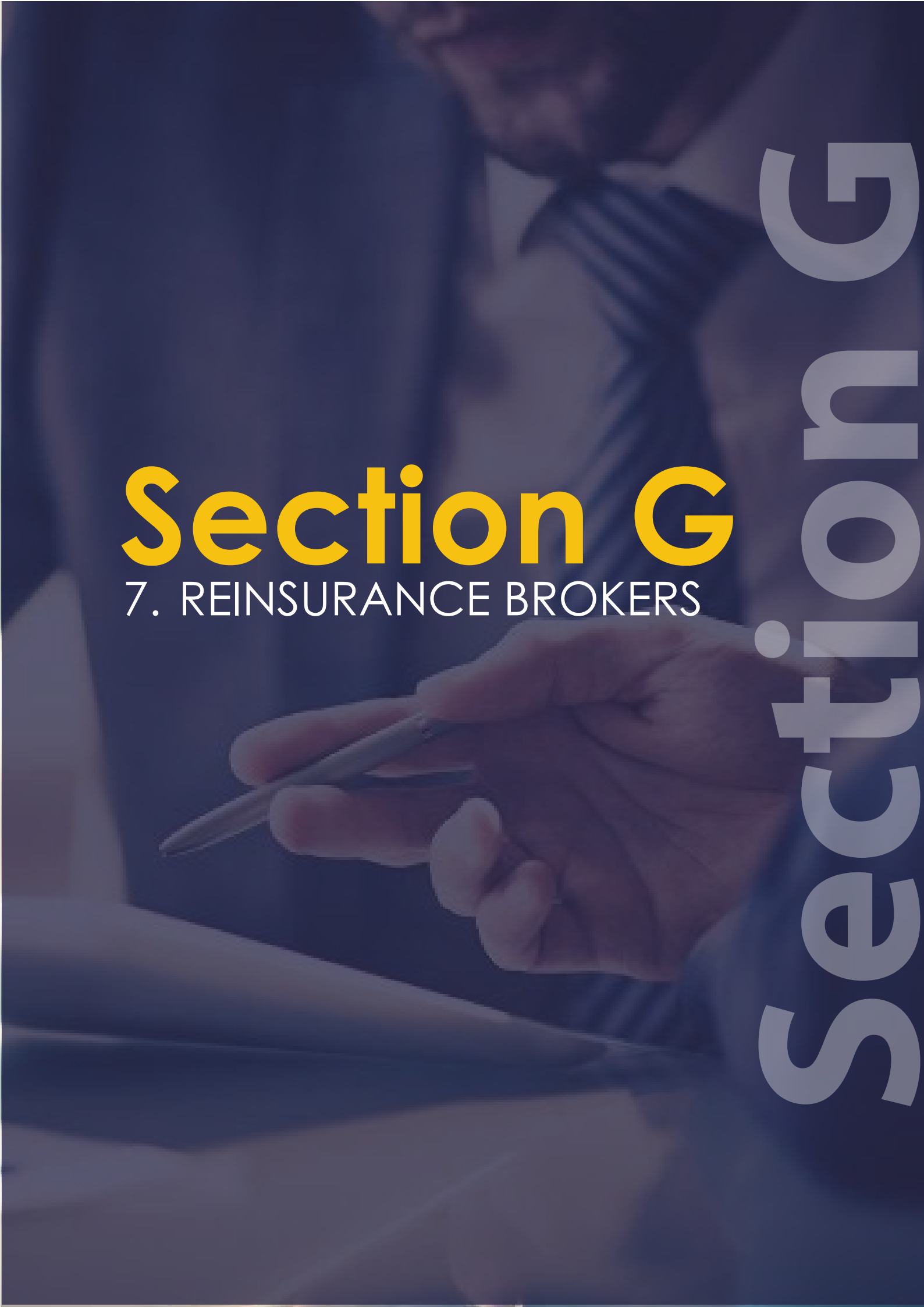
months ending 30 June 2020. The growth in after tax profit was largely driven by premiums tracking inflation subsequent to the adoption of the mono currency in 2019. The industry average return on equity (ROE) and return on assets (ROA) for the reporting period were 23% and 9% respectively. Four brokers reported negative after-tax profits during the period under review while five recorded nil balances.

6.5. Market Share for Insurance Brokers

For the half year ended 30 June 2020, First Link Insurance Brokers, Minerva Risk Solutions and HRIB dominated the market in terms of both business written and brokerage income. Figure 10 below shows the market share for the top ten insurance brokers in terms of net brokerage commission (NBC) and gross premium written.

Figure 11: Insurance Brokers` Market Share in Terms of NBC and GPW for the six months ending 30 June 2020





Section G

7. REINSURANCE BROKERS

Section G

7.1. Business Written

Gross premium by reinsurance brokers grew by 863% from \$85.7 million reported during the first half of 2019 to \$825.62 million for the comparative period in 2020. The average commission ratio for reinsurance brokers declined by 11.5 percentage points from 21% recorded for the half year ending 30 June 2019 to 10.5% for the comparative period in 2020. Table 9 shows the key indicators of business written by reinsurance brokers.

Table 9: Indicators of Business Written for Reinsurance Brokers

Indicator	30-June-2020 (\$)	30-June-2019 (\$)	Percentage change	Real Percentage Change
Premium Written	825,615,683	85,702,756	863%	15%
Premium Payable	248,652,078	68,092,726	265%	-56%
Brokerage Commission	83,012,728	17,610,030	371%	-44%
Commission Paid	70,817,586	14,566,200	386%	-42%
Net Brokerage Commission	10,953,355	3,043,830	260%	-57%
Other Income	20,037,626	100,396	19859%	2,284%
Operating Expenses	11,426,680	1,926,738	493%	-29%
Profit Before Tax	19,564,301	1,217,488	1507%	92%
Taxation	4,987,401	307,215	1523%	94%
Profit After Tax	14,576,899	910,273	1,501%	91%

7.2. Capitalisation

Two out of the seven registered reinsurance brokers reported capital positions which were below minimum capital requirement of \$1.5 million as at 30 June 2020. Table 10 shows the capital positions reported by all reinsurance brokers.

Table 10: Capitalisation Levels for Reinsurance Brokers.

Name of Reinsurance Broker	30-June-20 (\$)	30-June-19 (\$)
1. Afro-Asian Reinsurance Brokers	3,265,720	307,948
2. Capitol Reinsurance Brokers	2,671,046	266,923
3. Classic Reinsurance Brokers	3,244,454	2,470,283
4. Marsh Reinsurance Brokers	(16,773,353)	349,252
5. Minerva Re (Private) Limited	27,868,509	4,416,008
6. Pan African Re	6,020,000	476,486
7. Reinsurance Brokers International	409,040	278,438

Key:

	The broker reported a capital position that was above the requirement of \$1,500,000.
	The broker reported a capital position that was below the requirement of \$1,500,000.

The non-compliant entities are advised to ensure implementation of their capital compliance roadmaps which should bring them to compliance

7.3. Asset Quality

The reinsurance brokers reported total assets amounting to \$477.37 million as at 30 June 2020, reflecting an increase from \$135.1 million reported during the same period in 2019. The asset distribution for reinsurance brokers included land and buildings, furniture and fittings, motor vehicles, property and equipment, investments and cash.

7.4. Earnings for Reinsurance Brokers

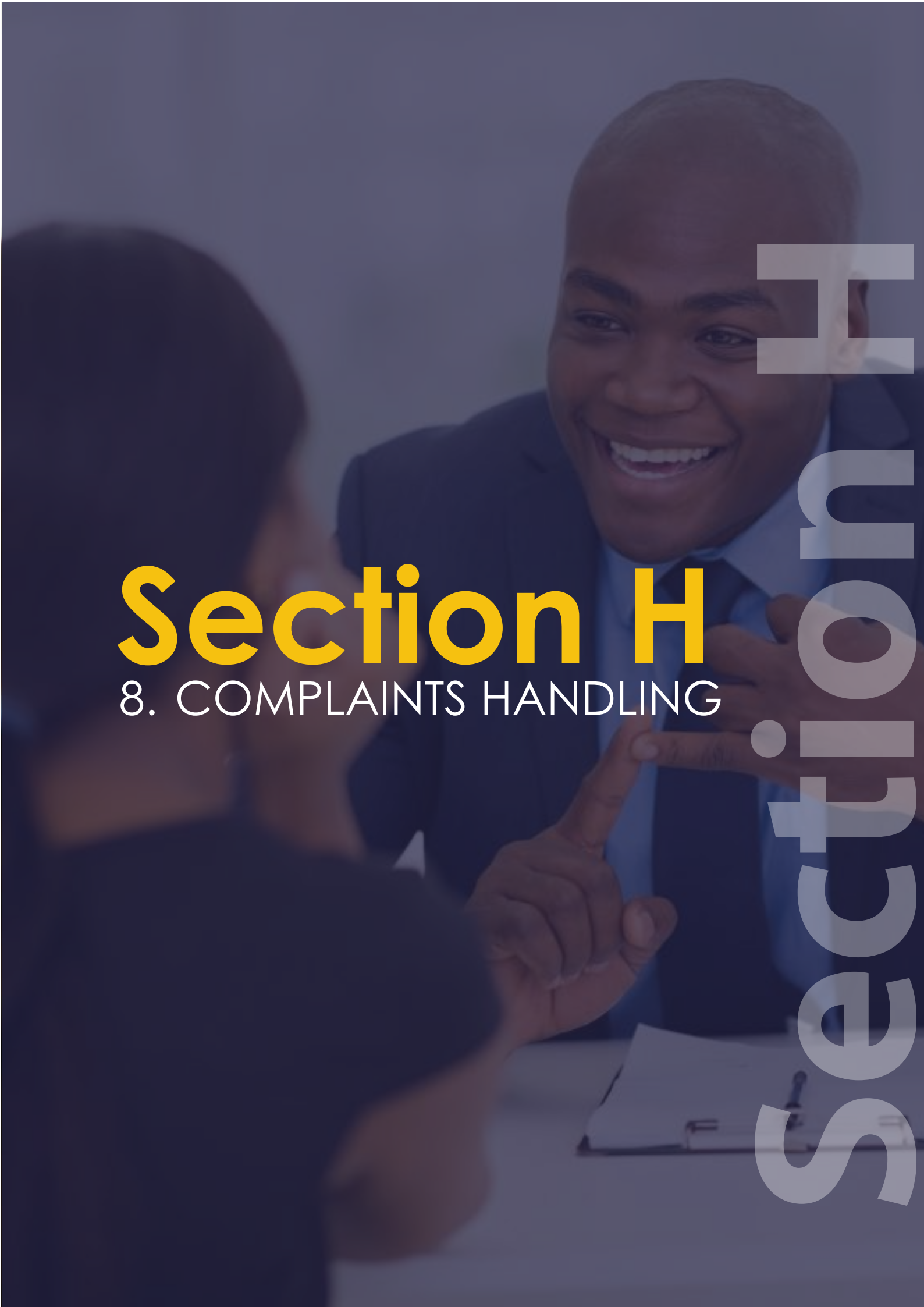
Total profit after tax for reinsurance brokers increased from \$0.9 million reported as at 30 June 2019 to \$14.58 million, translating to a nominal growth of over 1497% for the period under review.

7.5. Market Share for Reinsurance Brokers

Minerva Re (Private) Limited remained the dominant broker in terms of business written, net brokerage commission and total assets for the reinsurance broking market throughout the period ending 30 June 2020. The distribution of market share for the reinsurance brokers as at 30 June 2020 is shown in Table 11 below.

Table 11: Market Share for Reinsurance Brokers: 30 June 2020

Name of Reinsurance Broker	Net Brokerage Commission	Premium Written	Total Assets
1. Afro-Asian Reinsurance Brokers	5.80%	1.48%	2.83%
2. Capitol Reinsurance Brokers	6.10%	3.97%	2.96%
3. Classic Reinsurance Brokers	0.04%	0.01%	0.68%
4. Marsh Reinsurance Brokers	13.14%	25.56%	2.73%
5. Minerva Re (Private) Limited	62.86%	56.95%	66.33%
6. Pan African Re	11.89%	11.90%	23.47%
7. Reinsurance Brokers International	0.17%	0.12%	1.00%
Total	100%	100%	100%



Section H

8. COMPLAINTS HANDLING

Union
Sections

8.1. Short-Term Industry Complaints

The Commission handled eighteen (18) complaints against short-term insurers during the first six months of 2020. Fifteen (15) of the complaints were resolved while the other three (3) were still under investigation.

The three complaints are yet to be resolved because of the failure by policyholders to submit sufficient documentation to enable claim settlement while one was delayed as the insurer was still investigating the claim.

Table 12 below shows the distribution of complaints received.

Table 12: Nature and Distribution of complaints

Nature of complaints	Number of complaints	Proportion
Delay in settlement of claims	11	61%
Application of average clause	4	22%
USD-denominated policies	3	17%
Total	18	100%

The Commission continues to urge insurers to settle claims timeously to ensure that policyholders get value for money, particularly given the inflationary macroeconomic environment. On the application of the condition of average, the Commission continues to urge insurance companies to engage and educate policyholders on their responsibility to ensure that their assets are correctly valued to avoid the application of the condition.

The Commission urges insurance companies to implement the Revaluation Guidance issued in March 2020 for US\$ denominated policies issued before de-dollarisation.

In terms of the Revaluation Guidance Paper, liabilities for policies issued for a period of 12 months or less with premiums and benefits denominated in US\$ prior to the issuance of S.I. 142 of 2019 remained US\$ denominated up to expiration of the policy. Exemptions to pay US\$ premiums shall only apply to short-term products exempted in terms of Circular 13 of 2019.

The background of the slide features a dark, semi-transparent overlay on a photograph. The photograph shows a silver pen resting on a document with various financial charts. In the lower-left, there is a red line graph with a jagged, step-like pattern. To its right, a bar chart with blue and red bars is visible. Further right, another line graph is partially seen. The overall aesthetic is professional and financial.

Section I

7. REGULATORY ISSUES OF CONCERN

Section I

9. Regulatory Issues of concern

The Commission is concerned with the level of compliance with statutory requirements of some entities in the insurance sector. These requirements are Prescribed Assets, minimum capital requirements, quarterly and annual returns and statutory fees (levies and annual fees). The Commission has however, noted an improvement of compliance with minimum capital requirements, whilst most entities have remained non-compliant with the minimum threshold of prescribed assets of 10%.

The Commission has also noted that most entities are not compliant with our Risk Management and Corporate Governance directive, especially with regards to board composition and skills and skills diversity.

The compliance function within the insurance sector enhances regulatory oversight creating a device to detect non-compliance and enable development of measures that ensure compliance in the sector.

To ensure compliance the Commission has taken the following measures:

1. To ensure efficiency in submission of quarterly and annual returns, Circular 2 of 2018 was issued which requires that all statutory submissions be made on time through our online system.
2. The insurance sector is encouraged to comply with Statutory Instrument 206 of 2019 and circular 3 of 2019 which requires insurers to draw compliance plans in the event of non-compliance. Meanwhile the the Commission will continue to lobby Government for the development and introduction of attractive instruments to ensure the preservation of investor and policyholder funds.
3. The Risk Management and Corporate Governance directive developed by the Commission for guidance.

APPENDIX

Insurance & Pensions
Commission



APPENDIX

Appendix 1A

Comprehensive Income for Short-Term Insurers as at 30 June 2020

	Alliance	Allied	CBZ	Insurance Company		Champions	Clarion	Credsure	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total
				Promoter	Cell Funds															
Gross Premium Written	192 767 026	12 347 324	129 550 621	748 593 337	129 733 028	29 250 486	72 408 946	27 702 243	157 376 033	33 268 318	22 263 390	112 831 678	13 523 017	313 430 594	346 061 611	9 078 000	10 469 195	8 314 693	371 922 901	2 740 892 441
Reinsurance Premium	95 563 999	5 771 432	65 038 818	692 108 891	-	3 574 203	462 928	19 140 955	27 495 057	8 636 269	687 650	74 055 963	251 402	130 984 268	141 101 294	3 414 000	1 235 227	890 172	307 367 956	1 577 780 484
Net Premium Written	97 203 027	6 575 892	64 511 803	56 484 446	129 733 028	25 676 283	71 946 018	8 561 288	129 880 976	24 632 049	21 575 740	38 775 715	13 271 615	182 446 326	204 960 317	5 664 000	9 233 968	7 424 521	64 554 945	1 163 111 957
Increase/(Decrease) in UPR	16 320 941	3 302 021	18 366 229	24 240 125	84 320 630	2 538 562	16 594 964	859 050	40 250 430	6 250 000	(73 964)	11 090 350	2 672 741	33 933 464	56 644 530	1 094 000	(530 552)	3 996 477	4 979 612	326 849 610
Net Earned Premium	80 882 085	3 273 871	46 145 574	32 244 321	45 412 398	23 137 721	55 351 054	7 702 238	89 630 547	18 382 049	21 649 705	27 685 365	10 598 874	148 512 862	148 315 787	4 570 000	9 764 520	3 428 044	59 575 333	836 262 347
Net Incurred Claims	68 989 502	1 001 524	10 207 557	10 900 553	10 317 097	4 026 285	5 525 137	1 283 030	18 949 277	13 313 850	4 287 975	19 646 795	969 170	58 781 572	75 156 192	512 000	(249 519)	213 760	12 658 751	316 490 509
Net Commission Incurred	534 992	(569 933)	1 312 623	(84 203 625)	-	(756 160)	34 864 398	1 369 317	9 632 113	2 697 514	1 464 182	2 200 696	245 000	6 491 639	7 144 520	297 000	1 987 282	843 862	(13 568 783)	(28 013 363)
Technical Result	11 357 591	2 842 280	34 625 394	105 547 393	35 095 301	19 867 596	14 961 519	5 049 891	61 049 157	2 370 685	15 897 547	5 837 874	9 874 704	83 239 651	66 015 075	3 761 000	8 026 757	2 370 422	60 485 365	547 785 201
Operating Expenses	26 144 455	2 833 933	18 148 737	18 011 823	33 428 871	15 770 364	9 578 142	6 064 106	28 808 692	5 334 751	7 728 772	24 765 549	8 368 473	54 053 899	57 523 433	3 502 000	2 120 419	6 185 568	37 110 073	365 482 060
Underwriting Result	(14 786 864)	8 347	16 476 657	87 535 570	1 666 430	4 097 232	5 383 377	(1 014 215)	32 240 464	(2 964 066)	8 168 775	(18 927 675)	1 506 231	29 185 752	8 491 642	259 000	5 906 338	(3 815 147)	23 375 292	182 303 141
Investment Income	28 344	(152 289)	94 617	113 164	-	-	33 250	631 933	2 422 014	6 876 354	259 629	136 845	-	199 538 312	121 799 023	44 000	200 000	-	75 281 996	407 307 192
Unrealised Gains/(Losses)	18 184 684	104 090 295	41 980 081	13 347 722	71 595 729	(3 849 658)	-	3 467 160	176 441 621	-	11 170 638	76 248 348	-	-	274 577 265	71 935 000	-	304 257	-	859 493 141
Other Income/(Expenses)	2 908 634	1 628 176	(4 812 396)	33 879 357	12 436 464	1 760 536	1 613 735	135 259	-	284 838	1 416 812	3 566 229	1 829 869	18 898 512	826 555	-	-	1 448 910	(146 180)	77 675 310
Profit/(Loss) Before Tax	6 334 797	105 574 529	53 738 959	134 875 813	85 698 623	2 008 110	7 030 362	3 220 137	211 104 100	4 197 126	21 015 855	61 023 747	3 336 100	235 593 705	405 694 485	72 238 000	6 106 338	(2 061 980)	98 511 108	1 526 778 784
Taxation	-	2 320 539	3 304 825	33 341 300	18 241 884	600 816	1 810 318	796 018	28 371 000	-	-	15 713 615	500 415	69 993 680	13 487 608	1 631 000	1 378 506	-	3 179 818	194 671 342
Profit/(Loss) After Tax	6 334 797	103 253 990	50 434 134	101 534 513	67 456 739	1 407 294	5 220 044	2 424 119	182 733 100	4 197 126	21 015 855	45 310 132	2 835 685	165 600 025	392 206 877	70 607 000	4 727 832	(2 061 980)	95 331 290	1 332 107 442
Dividends	-	-	-	-	-	-	-	-	-	-	-	-	-	912 804	-	-	200 000	-	-	1 112 804
Retained Income	6 334 797	103 253 990	50 434 134	101 534 513	67 456 739	1 407 294	5 220 044	2 424 119	182 733 100	4 197 126	21 015 855	45 310 132	2 835 685	164 687 221	392 206 877	70 607 000	4 527 832	(2 061 980)	95 331 290	1 330 994 638

Appendix 1B

Statement of Financial Position for Short-Term Insurers as at 30 June 2020

	Alliance	Allied	CBZ	Cell Insurance Company		Champions	Clarion	Credsure	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total
				Promoter	Cell Funds															
ASSETS																				
Non-Current Assets																				
Fixed Assets	79 019 568	149 300 518	104 639 774	29 245 036	-	48 665 923	46 931 061	92 605 374	44 580 510	26 804 416	30 931 547	39 857 673	614 779	176 100 000	15 991 626	54 791 000	74 145 142	2 769 135	22 150 215	1 039 143 297
Equities	2 728 209	-	40 769 118	12 997 648	10 024 082	5 391 644	1 999	2 436 265	168 765 334	59 757 200	7 026 369	47 242 323	2 197 171	118 676 105	478 234 873	39 334 000	-	6 420	21 980 394	1 017 569 154
Investments In Associated Companies	-	-	-	17 608 889	-	1 375 925	160 000	-	-	-	-	-	-	5 249 516	-	-	-	-	-	24 394 330
Long Term Prescribed Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Non-Current Assets			4 653	4 598 205	-	1 942 296	823 218	356 091	-	7 200 000	-	186 766	187 232 974	13 197 676	136 728 351	224 000	-	39 216 000	6 803 356	398 513 586
	81 747 777	149 300 518	145 413 545	64 449 778	10 024 082	57 375 788	47 916 278	95 397 730	213 345 844	93 761 616	37 957 916	87 286 762	190 044 924	313 223 297	630 954 850	94 349 000	74 145 142	41 991 555	50 933 965	2 479 620 367
Technical Assets																				
Reinsurers' Share of Outstanding Claims	20 445 654	335 367	72 492 418	-	-	(297 215)	64 713	470 243	-	-	-	1 387 057	167 091	-	191 551 764	163 000	-	-	154 107 446	440 887 538
Deffered Acquisition Cost/UCR	7 992 450	1 469 062	35 038	82 054 161	-	718 936	3 740 258	101 115	22 065 854	187 718	(72 061)	756 531	508 249	11 621 410	8 964 520	454 000	19 228	629 332	(4 996 931)	136 248 871
	28 438 104	1 804 429	72 527 456	82 054 161	-	421 721	3 804 971	571 358	22 065 854	187 718	(72 061)	2 143 588	675 340	11 621 410	200 516 284	617 000	19 228	629 332	149 110 515	577 136 409
Current Assets																				
Cash & cash equivalents	121 341 955	11 949 733	20 663 637	57 704 361	53 430 001	2 983 032	10 450 657	8 627 211	65 227 959	5 117 231	11 557 656	67 176 654	2 926 277	79 426 834	144 782 494	6 207 000	1 265 126	2 882 194	69 258 743	742 978 755
Money Market Investments	2 674 716	61 205	-	-	119 841	-	4 820 000	-	1 051 567	253 977	3 032 858	-	(206)	-	-	-	-	-	26 330 927	38 344 885
Current Prescribed Assets	1 537 002	76 689	7 360 000	2 325 308	571 356	4 093 112	33 011	100 000	6 085 681	917 480	2 500 000	6 607 840	1 885 000	46 420 763	115 534	10 000	58 125	50 000	21 739 343	102 486 244
Premiums Receivable	55 072 711	7 920 712	71 384 665	568 922 474	72 357 926	7 681 449	6 471 226	19 610 132	65 906 120	80 881 663	14 063 076	83 673 001	2 264 057	185 795 608	115 275 205	56 000	3 318 596	725 295	182 177 774	1 543 557 690
Other Current Assets	16 824 811	244 788	8 474 336	13 546 244	-	940 638	4 680 865	1 150 862	56 639 236	3 592 141	10 512 741	1 303 206	230 708	46 209 534	(108 067 604)	103 000	-	420 632	17 641 605	74 447 743
	197 451 195	20 253 127	107 882 638	642 498 387	126 479 124	15 698 231	26 455 759	29 488 205	194 910 563	90 762 492	41 666 331	158 760 701	7 305 836	357 852 739	152 105 629	6 376 000	4 641 847	4 078 121	317 148 392	2 501 815 317
TOTAL ASSETS	307 637 076	171 358 074	325 823 639	789 002 326	136 503 206	73 495 740	78 177 009	125 457 293	430 322 261	184 711 826	79 552 186	248 191 051	198 026 100	682 697 446	983 576 763	101 342 000	78 806 217	46 699 008	517 192 872	5 558 572 093
LIABILITIES																				
Deferred Tax Liabilities	21 123 872	6 983 523	16 630 674	49 655 973	-	-	163 030	-	167 815	5 220 975	-	3 079 483	-	92 246 359	28 044 032	(1 631 000)	-	1 354	5 467 080	227 153 170
Long Term loan	-	-	-	-	-	-	-	-	2 911 800	-	-	-	-	-	-	-	-	-	108 196	3 019 996
Current Tax provisions	-	2 973 594	1 195 150	31 332 174	-	499 266	2 333 691	1 635 888	6 272 866	-	5 442 418	12 444 250	91 880	9 448 271	63 674	380 000	1 378 506	-	4 679 428	80 171 056
Gross Outstanding Claims	61 336 963	592 392	16 024 979	3 960 850	2 398 993	755 043	791 035	783 739	5 741 235	203 812	(418 714)	6 841 044	728 532	12 538 144	120 849 514	258 000	95 449	41 154	70 240 791	303 762 954
IBNR	10 239 786	448 922	4 515 827	1 251 850	2 636 047	1 811 822	4 468 065	576 442	10 001 145	1 335 102	3 529 785	2 990 694	660 342	5 991 224	28 938 079	283 000	232 069	465 569	31 118 587	111 494 356
UPR	39 962 249	5 322 420	83 907 553	28 624 490	89 264 788	3 594 680	22 340 324	1 287 747	65 095 885	10 042 977	3 705 075	14 643 138	3 964 914	58 069 422	146 937 669	1 771 000	384 567	6 293 322	69 716 496	654 928 716
Reinsurance Creditors	93 508 320	1 442 085	35 229 072	470 770 072	-	1 808 140	74 279	22 979 739	3 830 141	92 948 779	(216)	100 463 135	126 369	179 910 929	-	54 000	1 540 117	883 334	157 784 559	1 163 352 854
Other Liabilities	1 137 580	2 505 868	23 206 012	46 457 157	-	14 098 080	140 958	1 701 552	55 154 427	-	3 976 606	15 612 182	639 968	46 648 756	112 376 410	76 000	-	2 706 371	28 388 128	354 826 055
TOTAL LIABILITIES	227 308 770	20 268 804	180 709 267	632 052 566	94 299 828	22 567 031	30 311 382	28 965 107	149 175 314	109 751 645	16 234 954	156 073 926	6 212 005	404 853 105	437 209 378	1 191 000	3 630 708	10 391 103	367 503 265	2 898 709 157
SHAREHOLDERS' EQUITY																				
Share Capital	300 986	30 350	2 628 199	3 924 127	-	381 501	1 494 922	24 646	100	2 350 000	1 500 000	1 000	500 000	3 036 955	300 000	230 000	4 249 497	100 000	2 500 000	23 552 283
Share Premium	-	1 090 179	22 833 978	-	-	-	-	4 924 287	37 299 900	7 338	12 598 633	2 799 500	1 500 000	12 790 531	-	603 000	-	2 152 434	52 509	98 652 289
Revaluation & Other Reserves	55 419 664	51 308 022	58 475 463	-	-	45 502 620	39 422 208	88 298 279	44 489 933	56 659 205	28 202 842	35 156 020	149 426 369	497 618	4 787 134	23 745 000	42 361 761	105 000	2 449 436	726 306 574
Retained Profit	24 607 656	98 660 718	61 176 731	153 025 636	42 203 377	5 044 588	6 948 497	3 244 974	199 357 014	15 943 638	21 015 855	54 160 607	40 387 727	261 519 238	541 280 246	75 573 000	28 564 252	33 950 470	144 687 664	1 811 351 887
Shareholders's Equity	80 328 306	151 089 269	145 114 371	156 949 763	42 203 377	50 928 709	47 865 627	96 492 186	281 146 947	74 960 181	63 317 330	92 117 127	191 814 096	277 844 342	546 367 380	100 151 000	75 175 510	36 307 904	149 689 609	2 659 863 033
TOTAL EQUITY & LIABILITIES	307 637 076	171 358 073	325 823 638	789 002 329	136 503 205	73 495 740	78 177 009	125 457 293	430 322 261	184 711 826	79 552 284	248 191 053	198 026 101	682 697 447	983 576 758	101 342 000	78 806 217	46 699 007	517 192 874	5 558 572 093

Appendix 1C

Key Performance Indicators (KPIs) for Short-Term Insurers as at 30 June 2020

	Alliance	Allied	CBZ	Cell	Champions	Clarion	Credsura	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total/ Average
Capital Adequacy																			
Capital Position (\$000)	80 328	151 089	145 114	156 950	50 929	47 866	96 492	281 147	74 960	63 317	92 117	191 814	277 844	546 367	100 151	75 176	36 308	149 690	147 770
Capital Maintenance Ratio (CMR)	330,56%	9190,50%	899,77%	1111,45%	793,40%	266,12%	4508,30%	865,86%	1217,28%	1173,86%	950,26%	4192,43%	609,15%	1066,29%	5764,11%	3256,48%	1956,11%	927,52%	914,74%
Equity/Total Assets Ratio	26,11%	88,17%	44,54%	19,89%	69,29%	61,23%	76,91%	65,33%	40,58%	79,59%	37,12%	96,86%	40,70%	55,55%	98,82%	95,39%	77,75%	28,94%	47,85%
Solvency Margin	82,64%	2297,62%	224,94%	277,86%	198,35%	66,53%	1127,08%	216,47%	304,32%	293,47%	237,56%	1048,11%	152,29%	266,57%	1441,03%	814,12%	489,03%	231,88%	228,69%
Asset Quality																			
Total Assets (\$000)	307 637	171 358	325 824	789 002	73 496	78 177	125 457	430 322	184 712	79 552	248 191	198 026	682 697	983 577	101 342	78 806	46 699	517 193	5 558 572
Interest Generating Assets to Total Assets	41,70%	7,05%	21,11%	9,26%	16,96%	19,58%	8,90%	56,03%	35,76%	30,32%	48,76%	3,54%	35,82%	63,35%	44,95%	1,68%	6,29%	26,94%	34,21%
Non-Interest Generating Assets/Total Assets	58,30%	92,95%	78,89%	88,51%	81,16%	80,22%	91,10%	43,97%	64,24%	69,68%	51,24%	96,46%	63,41%	36,65%	55,05%	98,32%	93,71%	73,06%	65,35%
Fixed Assets/Total Assets	25,69%	87,13%	32,12%	3,71%	66,22%	60,03%	73,81%	10,36%	14,51%	38,88%	16,06%	0,31%	25,79%	1,63%	54,07%	94,09%	5,93%	4,28%	18,69%
Prescribed Assets Ratio	0,55%	0,05%	2,91%	0,33%	5,75%	0,04%	0,08%	1,49%	0,52%	3,14%	2,69%	18,63%	7,06%	0,02%	0,01%	0,07%	0,73%	6,02%	2,24%
Premium Debtors/Gross Premium	28,57%	64,15%	55,10%	76,00%	26,26%	8,94%	70,79%	41,88%	243,12%	63,17%	74,16%	16,74%	59,28%	33,31%	0,62%	31,70%	8,72%	48,98%	56,32%
Premium Debtors/Total Assets	17,90%	4,62%	21,91%	72,11%	10,45%	8,28%	15,63%	15,32%	43,79%	17,68%	33,71%	1,14%	27,21%	11,72%	0,06%	4,21%	1,55%	35,22%	27,77%
Reinsurance																			
Risk Retention Ratio	50,43%	53,26%	49,80%	7,55%	87,78%	99,36%	30,90%	82,53%	74,04%	96,91%	34,37%	98,14%	58,21%	59,23%	62,39%	88,20%	89,29%	17,36%	42,44%
Reinsurance Creditors/Reinsurance Premium	97,85%	24,99%	54,17%	68,02%	50,59%	16,05%	120,06%	13,93%	1076,26%	-0,03%	135,66%	50,27%	137,35%	0,00%	1,58%	124,68%	99,23%	51,33%	73,73%
Reinsurers' Share of O/S Claims to O/S	33,33%	56,61%	452,37%	0,00%	-39,36%	8,18%	60,00%	0,00%	0,00%	0,00%	20,28%	22,94%	0,00%	158,50%	63,18%	0,00%	0,00%	219,40%	145,14%
Reinsurers Debtors/Reinsurance Creditors	21,87%	23,26%	205,77%	0,00%	-16,44%	87,12%	2,05%	0,00%	0,00%	0,00%	1,38%	132,22%	0,00%	0,00%	301,85%	0,00%	0,00%	97,67%	37,90%
Actuarial																			
UPR (\$000)	39 962	5 322	83 908	28 624	3 595	22 340	1 288	65 096	10 043	3 705	14 643	3 965	58 069	146 938	1 771	385	6 293	69 716	654 929
IBNR (\$000)	10 240	449	4 516	1 252	1 812	4 468	576	10 001	1 335	3 530	2 991	660	5 991	28 938	283	232	466	31 119	111 494
Net Outstanding Claims	40 891	257	(56 467)	3 961	1 052	726	313	5 741	204	(419)	5 454	561	12 538	(70 702)	95	95	41	(83 867)	(137 125)
Liquid Assets/Total Reserves	137,83%	200,51%	87,69%	177,41%	109,56%	55,58%	400,76%	89,52%	54,30%	250,74%	319,58%	92,76%	164,29%	137,77%	289,30%	185,83%	43,12%	691,45%	140,44%
Liquid Assets/(Outstanding Claims+IBNR)	245,55%	1712,26%	-53,94%	1151,60%	247,07%	294,62%	980,65%	459,68%	408,64%	549,35%	873,74%	393,77%	679,18%	-346,94%	1644,71%	404,02%	578,66%	-222,43%	-3448,31%
Assets/Total Reserves	337,72%	2842,53%	1019,60%	2331,76%	1137,92%	283,92%	5761,04%	532,32%	1594,83%	1167,11%	1074,99%	3817,96%	891,26%	935,19%	4715,77%	11066,98%	686,75%	3047,97%	883,30%
Earnings																			
Profit After Tax (\$000)	6 335	103 254	50 434	101 535	1 407	5 220	2 424	182 733	4 197	21 016	45 310	2 836	165 600	392 207	70 607	4 728	(2 062)	95 331	1 332 107
Return on Equity	14,84%	135,18%	67,15%	126,03%	5,21%	21,09%	4,96%	127,03%	10,72%	63,23%	96,25%	2,78%	110,21%	143,12%	136,86%	12,30%	-10,89%	120,79%	96,88%
Return on Assets	3,73%	118,54%	30,01%	25,51%	3,48%	12,62%	3,75%	82,63%	4,42%	50,57%	36,07%	2,52%	46,12%	79,57%	132,25%	11,71%	-8,26%	35,80%	46,38%
Loss Ratio	85,30%	30,59%	22,12%	33,81%	17,40%	9,98%	16,66%	21,14%	72,43%	19,81%	70,96%	9,14%	39,58%	50,67%	11,20%	-2,56%	6,24%	21,25%	37,85%
Net Commission Ratio	0,66%	-17,41%	2,84%	-261,14%	-3,27%	62,99%	17,78%	10,75%	14,67%	6,76%	7,95%	2,31%	4,37%	4,82%	6,50%	20,35%	24,62%	-22,78%	-3,35%
Net Expense Ratio	32,32%	86,56%	39,33%	55,86%	68,16%	17,30%	78,73%	32,14%	29,02%	35,70%	89,45%	78,96%	36,40%	38,78%	76,63%	21,72%	180,44%	62,29%	43,70%
Combined Ratio	118,28%	99,75%	64,29%	-171,48%	82,29%	90,27%	113,17%	64,03%	116,12%	62,27%	168,37%	90,41%	80,35%	94,27%	94,33%	39,51%	211,29%	60,76%	78,20%
Underwriting Margin	-18,28%	0,25%	35,71%	271,48%	17,71%	9,73%	-13,17%	35,97%	-16,12%	37,73%	-68,37%	14,21%	19,65%	5,73%	5,67%	60,49%	-111,29%	39,24%	21,80%
Investment Income/NPW Ratio	18,74%	1580,59%	65,22%	23,83%	-14,99%	0,05%	47,88%	137,71%	27,92%	52,98%	196,99%	0,00%	109,37%	193,39%	1270,82%	2,17%	4,10%	116,62%	108,91%
Investment Income/Total Financial Assets	13,90%	859,87%	38,40%	15,65%	-21,56%	0,22%	30,14%	43,64%	5,47%	36,70%	45,39%	0,00%	54,94%	35,99%	84,80%	15,11%	10,33%	46,67%	43,40%
Liquidity																			
Working Capital (\$000)	(282)	4 295	22 907	138 957	7 651	90	2 796	125 867	(18 801)	29 336	20 443	2 409	11 270	27 789	5 878	1 030	(2 977)	127 252	538 089
Current ratio	109,20%	110,66%	166,71%	114,63%	70,50%	100,05%	105,49%	148,35%	82,87%	256,20%	104,02%	132,03%	91,26%	143,54%	680,25%	128,38%	45,30%	218,61%	125,43%
Acid Test ratio	60,69%	60,64%	25,90%	9,50%	30,95%	50,60%	30,63%	49,48%	5,73%	105,27%	47,70%	79,59%	31,08%	58,98%	604,77%	36,45%	28,22%	55,01%	36,00%
Market Shares																			
Market Share Based on GWP	7,03%	0,45%	4,73%	32,05%	1,07%	2,64%	1,01%	5,74%	1,21%	0,81%	4,12%	0,49%	11,44%	12,63%	0,33%	0,38%	0,30%	13,57%	100%
Market Share Based on NWP	8,36%	0,57%	5,55%	16,01%	2,21%	6,19%	0,74%	11,17%	2,12%	1,86%	3,33%	1,14%	15,69%	17,62%	0,49%	0,79%	0,64%	5,55%	100%
Market Share Based on Total Assets	5,53%	3,08%	5,86%	16,65%	1,32%	1,41%	2,26%	7,74%	3,32%	1,43%	4,47%	3,56%	12,28%	17,69%	1,82%	1,42%	0,84%	9,30%	100%

Appendix 2A
Statement of Comprehensive Income for Short-term Reinsurers as at 30 June 2020

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total
Gross Premium Written	130 891 749	97 368 325	66 983 734	205 535 923	158 441 340	106 222 654	224 237 562	260 832 656	1 250 513 943
Retrocession Premium	9 930 868	9 075 783	40 466 344	126 606 777	39 505 598	6 813 605	46 299 235	180 624 936	459 323 146
Net Premium Written	120 960 881	88 292 542	26 517 390	78 929 146	118 935 742	99 409 049	177 938 327	80 207 720	791 190 797
Increase/(Decrease) in UPR	26 488 202	31 376 190	1 500 195	7 738 040	13 109 638	40 267 701	45 703 295	24 949 964	191 133 225
Net Earned Premium	94 472 679	56 916 352	25 017 195	71 191 106	105 826 104	59 141 348	132 235 032	55 257 756	600 057 572
Net Incurred Claims	55 633 794	29 031 284	10 096 157	28 831 289	52 497 983	25 364 567	68 456 963	114 190 957	384 102 994
Net Commission Incurred	20 205 293	16 696 673	6 859 729	13 664 364	30 033 019	26 601 864	44 805 189	18 181 410	177 047 541
Technical Result	18 633 593	11 188 396	8 061 309	28 695 453	23 295 102	7 174 917	18 972 880	(77 114 611)	38 907 038
Operating Expenses	10 612 711	63 449 906	22 319 047	17 329 480	7 379 873	16 960 787	11 650 337	6 775 469	156 477 610
Underwriting Result	8 020 882	(52 261 510)	(14 257 738)	11 365 973	15 915 229	(9 785 870)	7 322 543	(83 890 080)	(117 570 573)
Investment Income	14 186 876	661 663	6 809 691	1 259 086	20 735	493 174	121 576 937	8 453 591	153 461 753
Unrealised Gains/(Losses)	25 046 908	440 669 301	79 870 100	47 011 393	87 440 371	33 952 341	172 695 907	626 479 873	1 513 166 194
Other Income/(Expenses)	-	2 596 893	74 352 641	(488 050)	575 833	8 538	-	-	77 045 855
Profit/(Loss) Before Tax	47 254 666	391 666 347	146 774 694	59 148 402	103 952 168	24 668 183	301 595 387	551 043 384	1 626 103 230
Taxation	-	100 285 033	30 922 673	129 804	17 556 818	-	17 435 191	-	166 329 519
Profit/(Loss) After Tax	47 254 666	291 381 314	115 852 021	59 018 598	86 395 350	24 668 183	284 160 196	551 043 384	1 459 773 711
Dividends	-	-	-	561 534	1 625 000	-	-	-	2 186 534
Retained Income	47 254 666	291 381 314	115 852 021	58 457 064	84 770 350	24 668 183	284 160 196	551 043 384	1 457 587 177

**Appendix 2B –
Statement of Financial Position for Short Reinsurers as at 30 June 2020**

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	2 000 197	7 449 657	303 420	8 373 562	62 640 904	4 822 353	169 348 117	21 034 460	275 972 670
Equities	53 976 948	361 789 683	145 910 323	7 844 947	97 147	48 898	67 531 797	-	637 199 743
Investments in Associated Companies	25 510 313	-	-	-	98 243 887	-	-	-	123 754 200
Long Term Prescribed Assets	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	19 081 788	59 553	-	-	-	7 288 919	-	-	26 430 260
	100 569 246	369 298 893	146 213 743	16 218 509	160 981 938	12 160 170	236 879 914	21 034 460	1 063 356 873
Technical Assets									
Retrocessionaires' Share of Outstanding Claims	15 506 811	4 199 558	-	37 309 317	5 363 686	-	-	-	62 379 372
Deferred Acquisition Cost	13 465 838	14 469 175	2 908 735	8 101 417	4 726 510	4 623 517	-	12 624 474	60 919 666
	28 972 649	18 668 733	2 908 735	45 410 734	10 090 196	4 623 517	-	12 624 474	123 299 038
Current Assets									
Cash & cash equivalents	77 350 344	260 733 578	138 318 423	72 670 038	101 453 477	5 244 933	207 834 562	55 166 232	918 771 587
Money Market Investments	9 418 778	-	-	-	1 074 996	-	-	-	10 493 774
Current Prescribed Assets	217 578	5 270 214	501 951	10 224 772	-	500 000	-	624 642 246	641 356 761
Premium Receivables	70 540 688	34 329 967	96 235 172	145 619 488	20 411 588	53 075 758	85 263 799	317 603 325	823 079 785
Other Current Assets	30 125 175	(7 401 287)	54 014 078	61 392 633	26 230 616	101 814 440	701 191	(159 913 579)	106 963 267
	187 652 563	292 932 472	289 069 624	289 906 931	149 170 677	160 635 131	293 799 552	837 498 224	2 500 665 174
TOTAL ASSETS	317 194 458	680 900 098	438 192 102	351 536 174	320 242 810	177 418 818	530 679 466	871 157 158	3 687 321 090
LIABILITIES									
Deferred Tax Liabilities	-	-	18 802 921	14 145 447	15 317 793	1 402 837	28 271 942	-	77 940 940
Long Term Loan	-	-	-	-	-	-	-	-	-
Current Tax provisions	43 232	98 739 611	-	-	22 081 657	-	3 606 783	-	124 471 283
Gross Outstanding Claims	38 392 094	29 706 520	24 781 962	54 937 229	9 651 211	7 525 514	12 319 724	88 416 615	265 730 869
IBNR	17 205 265	4 900 251	9 504 425	10 314 709	14 618 141	8 946 814	26 210 166	20 703 924	112 403 695
UPR	35 908 902	50 105 309	10 511 095	33 436 674	23 632 550	47 800 195	61 263 489	44 008 180	306 666 394
Retrocession Creditors	69 029 856	40 927 971	159 649 584	94 652 667	42 410 757	13 452 948	10 900 904	-	431 024 687
Other Creditors	24 964 743	68 751 276	32 303 785	22 452 091	11 060 607	7 919 708	4 930 694	-	172 382 904
TOTAL LIABILITIES	185 544 092	293 130 938	255 553 772	229 938 817	138 772 715	87 048 016	147 503 702	153 128 719	1 490 620 771
SHAREHOLDERS' EQUITY									
Share Capital	568 000	900 000	708	600 000	55	3 859 006	5 000	-	5 932 769
Share Premium	32 258 182	42 703 332	48 355 064	5 187 659	409 944	6 101 018	2 495 000	-	137 510 199
Revaluation & Other Reserves	56 407 317	6 182 623	-	5 381 909	55 444 493	26 133	12 769 705	-	136 212 180
Retained Profit	42 416 866	337 983 205	134 282 557	110 427 788	125 615 607	80 384 646	367 906 062	718 028 440	1 917 045 170
Shareholders's Equity	131 650 365	387 769 160	182 638 329	121 597 356	181 470 099	90 370 803	383 175 767	718 028 440	2 196 700 318
TOTAL EQUITY & LIABILITIES	317 194 457	680 900 098	438 192 101	351 536 173	320 242 815	177 418 819	530 679 469	871 157 158	3 687 321 090

Appendix 2C – Key Performance Indicators for Short Reinsurers as at 30 June 2020

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position (\$ 000)	131 650	387 769	182 638	121 597	181 470	90 371	383 176	718 028	274 588
Capital Maintenance Ratio (CMR)	435,35%	1756,75%	2755,00%	616,24%	610,31%	363,63%	861,37%	3580,84%	1110,58%
Equity/Total Assets Ratio	41,50%	56,95%	41,68%	34,59%	56,67%	50,94%	72,20%	82,42%	59,57%
Solvency Margin	108,84%	439,19%	688,75%	154,06%	152,58%	90,91%	215,34%	895,21%	277,64%
Asset Quality									
Total Assets (\$ 000)	317 194	680 900	438 192	351 536	320 243	177 419	530 679	871 157	3 687 321
Investments to Assets	44,44%	92,20%	64,98%	25,81%	32,05%	3,27%	51,89%	78,04%	63,23%
Non-Interest Generating Assets/Total Assets	41,50%	7,79%	35,02%	74,19%	37,28%	92,63%	48,11%	21,96%	36,05%
Fixed Assets/Total Assets	0,63%	1,09%	0,07%	2,38%	19,56%	2,72%	31,91%	2,41%	7,48%
Prescribed Assets Ratio	0,08%	0,80%	0,12%	3,34%	0,00%	0,30%	0,00%	72,76%	18,13%
Premium Debtors/Gross Premium	53,89%	35,26%	143,67%	70,85%	12,88%	49,97%	38,02%	121,77%	65,82%
Premium Debtors/Total Assets	22,24%	5,04%	21,96%	41,42%	6,37%	29,92%	16,07%	36,46%	22,32%
Retrocession									
Risk Retention Ratio	92,41%	90,68%	39,59%	38,40%	75,07%	93,59%	79,35%	30,75%	63,27%
Retrocession Creditors/Retrocession Premium	695,10%	450,96%	394,52%	74,76%	107,35%	197,44%	23,54%	0,00%	93,84%
Retrocessionaires' Share of O/S Claims to O/S	40,39%	14,14%	0,00%	67,91%	55,58%	0,00%	0,00%	0,00%	23,47%
Actuarial									
UPR	35 909	50 105	10 511	33 437	23 633	47 800	61 263	44 008	306 666
IBNR	17 205	4 900	9 504	10 315	14 618	8 947	26 210	20 704	112 404
Net Outstanding Claims	22 885	25 507	24 782	17 628	4 288	7 526	12 320	88 417	203 351
Liquid Assets/Total Reserves	114,46%	330,39%	309,88%	135,05%	241,03%	8,94%	208,26%	443,95%	252,34%
Liquid Assets/(Outstanding Claims+IBNR)	216,98%	874,80%	404,88%	296,66%	542,32%	34,88%	539,41%	622,99%	497,42%
Total Assets/Total Reserves	417,36%	845,71%	978,16%	572,73%	752,84%	276,04%	531,78%	568,91%	592,42%
Earnings									
Profit After Tax (000)	47 255	291 381	115 852	59 019	86 395	24 668	284 160	551 043	1 459 774
Return on Equity	57,39%	149,83%	118,58%	90,25%	92,50%	51,93%	144,53%	152,86%	128,29%
Return on Assets	25,83%	85,18%	50,47%	32,11%	52,19%	26,45%	104,07%	125,28%	76,42%
Loss Ratio	58,89%	51,01%	40,36%	40,50%	49,61%	42,89%	51,77%	206,65%	64,01%
Net Commission Ratio	21,39%	29,34%	27,42%	19,19%	28,38%	44,98%	33,88%	32,90%	29,51%
Net Expense Ratio	11,23%	111,48%	89,21%	24,34%	6,97%	28,68%	8,81%	12,26%	26,08%
Combined Ratio	91,51%	191,82%	156,99%	84,03%	84,96%	116,55%	94,46%	251,82%	119,59%
Investment Income/NPW Ratio	32,44%	499,85%	326,88%	61,16%	73,54%	34,65%	165,38%	791,61%	210,65%
Investment Income/Total Financial Assets	27,83%	70,30%	30,44%	53,20%	85,22%	594,52%	106,87%	93,40%	75,49%
Liquidity									
Working Capital	56 046	87 222	68 728	127 831	31 549	86 130	151 227	696 994	1 305 726
Current ratio	127,40%	107,85%	114,25%	174,07%	119,38%	189,85%	199,18%	555,17%	183,72%
Acid Test ratio	51,16%	92,06%	54,32%	43,03%	76,85%	6,60%	140,90%	443,95%	109,97%
Market Share of Total Liquid Assets	5,54%	16,94%	8,84%	5,28%	6,53%	0,37%	13,23%	43,28%	100%
Market Shares									
Market Share Based on GPW	10,47%	7,79%	5,36%	16,44%	12,67%	8,49%	17,93%	20,86%	100%
Market Share Based on NPW	15,29%	11,16%	3,35%	9,98%	15,03%	12,56%	22,49%	10,14%	100%
Market Share Based on Total Assets	8,60%	18,47%	11,88%	9,53%	8,68%	4,81%	14,39%	23,63%	100%

Appendix 3A

Statement of Comprehensive Income for Insurance Brokers for the quarter ended 30 June 2020 (\$'000)

	Ambassador	Amour Khan	Auto & General	Boksuse	Capitol	Care	CBZ	Coverlink	Eaton & Youngs	Entwide Insurance	Firstlink	FirstSun Alliance	Eureka	Glennard	Goldstock	Hostare	HRD	Hunt Adams	L.A. Guard	Marsh	Minerva- Risk Solutions	Momentum	Paul Mondo	Pengo	Progressive	Rainbow	Revival	Safari	TIB	WFOR	Victory	ZB	Total
Premium Written	0	3,263	0	2,774	31,465	11,243	75,261	721	41,821	3,117	389,976	28,336	6,041	8,382	750	0	172,767	7,325	2,573	76,102	232,609	27,289	1,339	4,031	8,472	0	0	36,189	14,531	64,044	7,396	55,224	1,305,416
Premium Payable	0	2,735	0	2,270	26,639	9,403	63,904	601	35,116	2,537	353,677	17,653	4,501	6,781	636	0	146,007	0	2,104	63,632	197,345	22,051	1,179	3,296	6,482	0	0	28,166	12,309	52,935	6,322	46,438	1,114,490
Brokerage Commission	0	529	0	504	4,787	1,750	11,776	121	6,785	580	37,299	2,681	1,541	1,531	124	0	26,761	6,938	552	12,470	33,363	4,438	181	736	1,930	0	0	8,023	2,643	9,740	1,074	8,787	109,163
less Commission paid	0	0	0	0	0	0	520	0	242	0	0	0	0	0	15	0	7,088	2,930	0	39	0	0	181	448	51	0	0	0	0	19	0	0	11,532
Net Brokerage Commission	0	529	0	504	4,787	1,750	11,756	121	6,543	580	37,299	2,681	1,541	1,531	109	0	19,672	4,008	552	12,431	33,363	4,438	339	287	1,939	0	0	8,023	2,643	11,030	1,074	8,787	179,745
Other Income	0	0	0	0	2,469	222	5,761	8	494	0	0	63	1,189	0	0	0	68	0	0	-28,341	27	11	672	531	4	0	0	1,924	622	7,907	787	2,041	-3,521
Admin Expenses	0	274	0	481	3,947	1,204	5,646	222	4,362	533	1,042	1,077	1,039	1,036	89	0	10,399	2,058	523	9,461	18,640	2,880	833	729	2,038	0	0	12,775	2,093	4,284	1,430	4,553	94,083
Profit Before Tax	0	255	0	24	3,389	679	10,870	-91	2,685	5	36,266	1,666	1,621	545	20	0	9,142	2,937	29	-35,372	16,642	1,570	194	1,567	-115	0	0	-2,928	1,172	14,783	431	6,072	83,608
Taxation	0	64	0	0	168	25	1,512	0	0	0	9,163	287	416	12	1	0	2,354	530	9	536	4,065	408	0	227	0	0	0	35	0	2,680	129	1,351	24,293
Profit after Tax	0	191	0	24	3,141	654	9,358	-91	2,685	5	27,103	1,379	1,214	533	19	0	6,788	1,807	20	-35,908	12,577	1,162	194	1,340	-115	0	0	-2,793	1,172	12,083	301	4,721	59,315

Appendix 3B

Statement of Financial Position for Insurance Brokers as at 30 June 2020 (\$000)

	Ambassador	Amour Khan	Auto & General	Broksure	Capitol	Care	CBS	Coverlink	Eaton & Youngs	Eureka	Entwide	First link	First Sun Alliant	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	LA Guard	Marsh	Minerva - Risk & Momentum	P.Mkondo	Peipro	Progressive	Rainbow	Revival	Safari	TIB	WFOR	Victory	ZIB	TOTAL	
Equity and Liabilities																																	
Equity																																	
Share Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Authorised Share Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Issued and Paid Up Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Share Capital	-	32	-	500	116	98	1,345	30	100	50	900	100	0	50	0	-	0	1	100	5	0	100	200	40	120	-	-	1	1,500	2	0	0	5,390
Share Premium	-	-	-	-	-	9	-	147	-	-	-	-	634	625	-	-	-	275	1,610	-	-	-	13,233	-	-	-	-	-	-	-	4,666	-	21,191
Non-Distributable Reserves	-	1,625	-	2,572	15,188	1,555	-	1,938	5,192	5,025	905	258	16,435	5	151	-	1	262	1,610	412	455	924	1,855	1,923	3,315	-	-	136	4,308	48	-	3,334	69,480
Retained Income	-	195	-	1,194	4,292	940	14,125	232	15,071	2,331	47	26,967	1,379	3,385	4,241	-	6,020	3,726	242	33,788	34,046	1,685	196	3,288	254	-	-	12,796	589	17,906	314	6,401	127,102
Owners Equity	-	1,852	-	4,267	19,596	2,504	15,470	1,883	20,363	7,405	1,851	27,325	18,438	5,076	4,392	-	36,483	4,265	3,562	33,371	34,501	2,709	15,485	5,251	3,182	-	-	12,933	6,397	17,955	4,980	9,784	254,537
Non-current liabilities (Specify them)																																	
Deffered tax	-	-	-	-	6	38	207	-	9	-	-	-	-	10	-	-	75	-	-	-	-	-	-	-	-	-	-	8	1,742	-	-	612	2,708
Bank overdraft	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	5,793	-	-	-	-	12	31	-	-	-	-	-	-	-	-	5,836
Borrowings	-	259	-	-	-	-	-	89	-	-	-	-	-	-	-	-	-	286	34	-	-	18	-	-	459	-	-	22,886	-	-	-	-	24,031
Current liabilities																																	
Payable Premiums	-	1,297	-	2,421	6,476	536	85,701	149	3,474	2,061	34	-	13,706	760	246	-	63,769	15,174	457	22,278	40,403	1,429	34	-	1,885	-	-	16,216	8,061	38,064	83	8,089	332,804
Other Liabilities	-	-	-	19	-	27	4,433	-	-	-	9	-	-	-	93	-	121	-	80	49,843	-	107	20	-	-	-	-	4,619	-	-	-	107	59,479
Brokers commission payable	-	-	-	-	-	-	996	-	-	-	-	-	-	-	-	-	282	372	-	-	-	-	-	-	-	-	-	-	228	-	-	-	1,878
Provisions	-	-	-	-	82	-	1,113	-	9,627	7	-	-	-	37	-	-	607	-	6,207	4,178	-	-	-	-	-	-	-	-	137	-	-	-	21,995
Sundry creditors	-	-	-	-	22	-	-	-	-	1,560	-	-	-	18	-	-	-	733	-	4,412	-	-	-	-	282	-	-	-	1,432	850	-	-	9,310
Taxation	-	-	-	-	168	-	1,512	-	-	416	-	9,063	287	12	-	60	530	-	-	-	-	-	76	-	-	-	777	-	2,680	129	1,361	17,092	
Other	-	-	-	-	-	655	-	-	-	-	-	-	-	618	40	-	1	-	1,265	4,084	-	-	-	2	-	-	-	65	-	-	-	6,790	
Total Current Liabilities	-	1,297	-	2,441	6,817	563	93,746	238	12,774	3,702	43	-	13,706	1,445	379	-	7,948	16,887	1,802	86,823	44,581	1,536	54	76	2,169	-	-	21,612	9,923	39,054	83	9,577	379,277
Total Equity & Liabilities	-	3,408	-	6,707	26,420	3,206	109,422	2,120	33,147	11,107	1,894	27,325	32,144	6,531	4,790	-	16,015	27,231	5,398	93,453	79,082	4,263	15,538	5,339	5,841	-	-	57,431	16,328	58,751	5,064	19,973	637,929
Assets																																	
Non - Current Assets																																	
Property and Equipment	-	-	-	-	-	0	-	1,964	-	-	-	-	-	-	-	-	-	-	-	-	-	119	-	834	-	-	-	-	-	-	-	-	2,917
Land & Buildings	-	1,525	-	-	9,888	1,607	30	-	4,709	4,960	625	-	15,000	2,848	4,480	-	480	4,575	1,620	2,000	-	-	11,016	-	2,851	-	-	16,200	-	76	1,250	3,912	89,652
Furniture and Fittings	-	83	-	362	1,335	8	66	-	-	2	21	248	10	45	17	-	32	14	387	171	1,166	18	2,420	256	204	-	493	35	382	408	430	8,612	
Motor Vehicles	-	265	-	507	2,385	-	35	-	-	0	313	-	145	308	-	-	251	4,531	-	43	572	494	713	1,050	308	-	-	1,436	4,320	185	1,220	20	19,100
Computer Equipment	-	263	-	379	1,905	10	111	-	475	48	11	200	4	36	-	222	87	603	31	304	8	448	238	55	-	-	183	37	21	204	465	6,348	
Computer Software	-	90	-	10	-	80	-	-	-	6	-	-	2	4	-	18	-	93	0	2	10	-	-	13	-	-	-	-	250	340	-	916	
Investments	-	-	-	2,500	4,940	146	917	-	385	-	900	-	188	648	-	-	-	1,296	-	-	-	-	60	-	81	-	-	-	-	720	1,455	14,236	
Other	-	-	-	-	-	-	-	-	-	38	-	-	-	-	-	-	38	-	8,051	-	-	-	515	-	-	-	2,590	-	-	550	-	-	11,706
Total Non- Current Assets	-	2,226	-	3,757	20,452	1,772	1,239	1,964	5,787	4,972	1,875	448	15,349	3,889	4,497	-	1,187	9,246	4,000	10,297	2,044	647	14,658	2,892	3,512	-	-	20,901	4,393	914	4,692	6,281	153,889
Current Assets																																	
Commission Receivable	-	16	-	-	-	210	1,266	-	-	-	4	-	892	-	-	-	-	552	5,043	9,152	312	-	-	1,137	-	-	-	-	-	67	2,398	21,049	
Premium Receivables	-	-	-	2,421	-	-	85,701	-	1,893	-	-	-	14,598	811	-	-	6,697	4,244	-	-	-	-	-	-	-	-	-	16,241	6,674	24,024	-	-	163,305
Accrued Investment Income	-	-	-	-	-	-	-	-	19,254	-	3	-	-	-	-	-	-	-	6,984	-	233	-	1,625	-	-	-	-	-	-	-	34	-	28,133
Other Debtors & Inventory	-	-	-	-	147	-	3,533	6	182	-	95	-	-	-	0	-	3,241	250	603	1,055	4,732	56	74	206	995	-	-	2,483	110	5,756	127	415	23,879
Cash & Cash Equivalents	-	1,166	-	529	5,469	1,224	17,683	150	6,248	4,360	12	26,877	1,306	1,831	293	-	1,370	13,490	244	30,074	63,153	3,014	807	616	197	-	17,806	5,152	28,057	143	10,879	242,150	
Total Current Assets	-	1,182	-	2,950	5,968	1,434	108,183	156	8,323	6,136	19	26,877	16,795	2,642	293	-	11,309	17,985	1,398	43,156	77,087	3,616	881	2,447	2,329	-	-	36,530	11,995	57,837	372	13,692	461,484
Total Assets	-	3,408	-	6,707	26,420	3,206	109,422	2,120	33,147	11,107	1,894	27,325	32,144	6,531	4,790	-	16,015	27,231	5,398	93,453	79,082	4,263	15,538	5,339	5,841	-	-	57,431	16,328	58,751	5,064	19,973	637,929

Appendix 4A

Statement of Comprehensive Income for Reinsurance Brokers for the quarter ended 30 June 2020 (\$'000)

	Afro - Asian	Capitol Re	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Gross Premium Receivable	12,240,057.07	32,777,810.36	114,605.76	211,052,424.61	470,188,607.18	98,244,579.00	997,599.00	825,615,682.98
Gross Premium Payable	10,781,881.32	31,245,848.83	105,473.74	147,315,279.52	454,390,340.16	95,255,625.00	953,858.64	740,048,307.21
Brokerage Commission	1,458,175.75	1,531,961.53	9,132.02	63,737,145.09	15,798,267.02	2,988,955.00	43,740.36	85,567,376.77
less Commission paid	-	-	-	60,434,898.58	-	-	-	60,434,898.58
Net Brokerage Commission	1,458,175.75	1,531,961.53	9,132.02	3,302,246.51	15,798,267.02	2,988,955.00	43,740.36	25,132,478.19
Other Income	408,835.49	1,125,965.37	111,120.00	- 17,213,649.49	53,356.84	1,744,532.00	1,988.25	- 13,767,851.54
Less Administration expenses	755,670.51	849,862.00	391,685.32	1,631,284.58	9,113,090.97	2,617,258.00	42,113.00	15,400,964.38
Profit Before Tax	1,111,340.73	1,808,064.90	-271,433.30	- 15,542,687.56	6,738,532.89	2,116,229.00	3,615.61	- 4,036,337.73
Taxation	-	96,429.00	-	178,781.95	-	116,243.00	903.90	392,357.85
Profit after Tax	1,111,340.73	1,711,635.90	-271,433.30	- 15,721,469.51	6,738,532.89	1,999,986.00	2,711.71	- 4,428,695.58

Appendix 4B

Statement of Financial Position for Reinsurance Brokers as at 30 June 2020 (\$000)

	Afro - Asian	Capitol Re	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Equity and Liabilities								
Equity								
Share Capital								
Authorised Share Capital	12,000.00	2,000.00	-	-	-			
Issued and Paid Up Capital	1,000.00	2,000.00	-	-	4.00			
Share Capital	265,539.22	118,638.00	800,000.00	-	-	1,000.00	200,000.00	1,385,177.22
Share Premium	48,440.30	-	1,200,000.00	-	-	70,000.00	48,780.00	1,367,220.30
Non-Distributable Reserves	2,902,168.19	1,815,121.00	1,562,277.00	- 16,773,352.71	27,859,238.18	-	100,000.00	- 10,393,786.52
Retained Income	48,571.87	735,287.00	- 317,823.30	-	9,266.60	5,949,000.00	60,260.00	6,484,562.17
Owners Equity	3,265,719.58	2,671,046.00	3,244,453.70	- 16,773,352.71	27,868,508.78	6,020,000.00	409,040.00	26,705,415.35
Non-current liabilities: (Specify them)								
Deferred tax	7,815.21	-	-	-	-	-	-	7,815.21
Bank overdraft	-	-	-	-	-	-	-	-
Borrowings	-	-	-	-	-	-	-	-
Current liabilities								
Payable Premiums	9,559,338.77	11,396,404.00	-	2,702,989.20	285,268,279.73	104,708,446.00	3,832,069.00	417,467,526.70
Other Liabilities	570,497.00	35,361.00	-	42,506.93	-	-	-	648,364.93
Brokers commission payable	-	-	-	-	-	-	-	-
Provisions	-	24,327.00	-	129,798.99	3,506,544.26	321,126.00	-	3,981,796.25
Sundry creditors	-	-	-	-	-	213,488.00	-	213,488.00
Taxation	123,280.40	96,429.00	-	-	-	-	-	219,709.40
Other	1,751.93	-	-	26,944,329.68	-	765,342.00	513,802.00	28,225,225.61
Total Current Liabilities	10,254,868.66	11,456,092.00	-	29,819,624.80	288,774,823.99	106,008,402.00	4,345,871.00	450,659,682.45
Total Equity & Liabilities	13,528,403.45	14,127,138.00	3,244,453.70	13,046,272.09	316,643,332.77	112,028,401.00	4,754,911.00	477,372,912.01
Assets								
Non - Current Assets								
Property and Equipment	-	-	-	-	-	520,385.00	-	520,385.00
Land & Buildings	2,000,000.00	-	2,052,000.00	-	-	-	-	4,052,000.00
Furniture and Fittings	35,952.69	114,246.00	304,182.34	1,731.43	12,183.01	392,545.00	-	860,840.47
Motor Vehicles	-	638,400.00	-	-	99,163.35	2,924,658.00	-	3,662,221.35
Computer Equipment	52,193.38	85,500.00	99,256.88	-	22,922.91	71,426.00	313.00	331,612.17
Computer Software	74,123.95	-	-	-	-	-	-	74,123.95
Investments	577,457.28	1,021,835.00	-	-	-	-	436,409.00	2,035,701.28
Other	-	-	-	-	-	-	-	-
Total Non- Current Assets	2,739,727.30	1,859,981.00	2,455,469.22	1,731.42	134,269.27	3,809,014.00	436,722.00	11,436,914.21
Current Assets								
Commission Receivable	-	-	-	919,904.95	-	-	-	919,904.95
Premium Receivables	9,181,674.00	10,446,109.00	-	-	276,708,770.71	2,613,837.00	-	298,950,390.71
Accrued Investment Income	-	-	-	-	2,914,566.19	-	-	2,914,566.19
Other Debtors & Inventory	33,854.80	116,429.00	402,000.48	-	542,227.95	23,677.00	3,688,466.00	4,806,655.23
Cash & Cash Equivalents	1,573,147.28	1,704,619.00	386,984.00	12,125,445.71	36,343,498.65	105,581,874.00	629,724.00	158,345,292.64
Total Current Assets	10,788,676.15	12,267,157.00	788,984.48	13,044,540.66	316,509,063.50	108,219,387.00	4,318,190.00	465,935,998.79
Total Assets	13,528,403.45	14,127,138.00	3,244,453.70	13,046,272.09	316,643,332.77	112,028,401.00	4,754,911.00	477,372,912.01